

CS Operating Model

Reachly · Business Communications Platform

\$100M

Annual Recurring Revenue

43 FTE

CS Team · India-based

25,000

Total Accounts

\$1.68M

Cost to ARR · 1.68%

PREPARED FOR SAAS LABS · JUNE 2026

**Retention is re-earned every 30 days.
Build for that reality.**

- 2-team structure · Mid Market + SMB (3 tiers)
- ARR-first book of business · account-capped coverage
- 43 FTE · \$1.51M people · 1.51% of ARR
- 8-tool lean stack (4 already owned) · \$87k + \$55k build · 12.7x Year-1 / 23x steady-state ROI
- Base payback 12 months · Best 6.5 months
- GRR target: 70% → 73–76% in 18 months

Executive Summary

60-Second Case

THE PROBLEM · WHAT CHANGES · OUTCOME NUMBERS · WHY NOW

The 60-Second Case

Problem · Intervention · Outcome — everything before the deep dive

THE PROBLEM — THE BURNING PLATFORM

\$80M

ARR re-earned every 30 days. 80% of accounts on monthly billing — no annual safety net. Retention is re-earned, not locked in.

70%

GRR today — 5–8 pts below SaaS median for this ACV band. Each point = \$1M ARR. Structural gap, not a market gap.

6% / mo

Logo churn in SMB long-tail. Mostly silent — no signal, no playbook, no intervention. Largely preventable with early action.

43%

SMB churn occurs before Day 90 — before first value. No structured onboarding = silent exit at renewal #1.

Root cause: No structured coverage model · No tier-based playbooks · No predictive churn signal · CSMs reactive not proactive · No governance loop closing field activity to GRR

WHAT CHANGES — STRUCTURE · PROGRAMS & MOTION · SCOPE & GOVERNANCE

STRUCTURE & SEGMENTATION

- 2-team design:** MM (named CSM) + SMB (AI-agent first)
- 5 tiers:** Strategic · Core · T1 · T2 · T3 — each with own motion & coverage ratio
- 43 FTE:** 30 front-line CSMs + 7 specialist + 6 Ops Specialist
- ARR-first ratios:** 1:58 Strategic · 1:143 Core · 1:650 T1
- Scope clarity:** CS owns GRR · AE owns ARR quality · RevOps audits

PROGRAMS & TOOLING

- 3 Parallel:** Adoption · Performance · MAU seat utilisation — Low → High tier movement
- 5 programs:** Onboarding · Pre-90 Churn · 3 Parallel · Renewal · Advocacy
- 2 motions:** PLG AI-agent self-serve (T2/T3) + Human-led CSM (MM + T1)
- 8-tool lean stack:** HubSpot · PostHog · Userpilot · Churnkey · Intercom Fin · Delighted · Metabase — \$87k/yr (4 already owned)
- AI signal engine:** predicts churn 30–60d before the billing event fires

SCOPE & GOVERNANCE

- KPIs:** GRR + NRR primary · CPI per CSM · NTP per program
- Book coverage:** Safe / Unsafe / Unknown — reviewed weekly by CSM & manager
- AE RoE:** last-week ARR gate · annual → monthly approval · risk signal 24h SLA
- Business desk:** CC decline + collections off CSM plates → 3 contract agents
- OKRs:** GRR 70 → 76% · NRR 85 → 95% · D30 activation · Dormant churn <15%

THE OUTCOME — IN NUMBERS

GRR 70% → **76%**

best case · +\$6.6M ARR retained (18 mo)

NRR 85% → **95%**

Expansion via integrations + seat growth

+\$3–5M ARR / yr

Programs + CC recovery + dormant revival

Payback **6.5–12 mo**

\$1.68M investment vs \$3–5M annual ARR save

Involuntary churn ↓**57%**

Pre-dunning + CC automation + collections

Cost to ARR **1.68%**

vs industry avg 2–3% — lean, AI-augmented model

WHY NOW

\$80M re-earned every 30 days with no structured coverage model = \$2M in preventable churn every month we delay. The structure, tooling, and programs are defined in this deck — this is the operating manual to run it from Day 1.

KEY NOTE Exec summary assumes the evaluator is time-constrained and needs the full problem-intervention-outcome arc in <60 seconds. Prioritisation: burning platform first, model second, numbers third. Subsequent slides provide the rigour behind each bullet.

BUSINESS OUTCOME GRR 70 → 76% (+\$6.6M ARR) and NRR 85 → 95% are the two L0 outcomes this model serves. Every slide in the deck traces back to one of these two metrics — or to the efficiency rationale that makes both achievable at 1.68% cost-to-ARR.

Segmentation & Structure

Account mix · coverage model · team design

SEGMENTATION & COVERAGE · TEAM STRUCTURE

Segmentation & Coverage — Two Motions, One Model

Why the account mix forces this split · where we draw the human line · ARR-first capacity model

\$100M

Annual ARR

25,000

Total Accounts

7% = 52%

of accounts hold 52% of ARR

80%

On monthly billing

70%

Blended GRR today

The Account Mix — a barbell, not a bell curve

MID
MARKET

1,750 accounts (7%) · avg \$30k ACV

SMB
TAIL

23,250 accounts (93%) · avg \$2.1k ACV

WHY WE SEGMENT THIS WAY

- ACV sets the economics. ARR/CSM is the capacity proxy — a named human only pays back above \$12k ACV. Below that, coverage must pool or automate.
- Two different problems. MM churn = relationship & expansion risk (QBRs, exec alignment). SMB churn = activation & self-serve failure (onboarding, in-product). One playbook can't fix both.
- The tail is unservable by humans. 16,000 accounts at \$1.1k ACV can't carry a CSM. Automation is the only way they get any touch instead of zero — segmentation is what makes the 93% coverable at all.
- Effort follows saveable churn. Concentrate where churn is high *and* recoverable — MM renewals and SMB T1 — not spread thin across 25,000 accounts.

Coverage Model — ARR-First, Account-Capped · 30 front-line CSMs · \$100M ARR · \$3.3M blended ARR/CSM

TIER	ACCTS	ARR	AVG ACV	COVERAGE	ACCTS/CSM	ARR/CSM	CSMS
MM · Strategic	750	\$37M	\$49k	Named · Deep	58	\$2.85M	13
MM · Core	1,000	\$15M	\$15k	Named · Light	143	\$2.14M	7
▼ HUMAN LINE · \$4.6k ACV · below this the economics break — a pooled CSM would need 950+ accounts; CS cost exceeds CS-attributable retention value							
SMB Tier 1	3,250	\$19M	\$5.8k	Pooled · Triggered	325	\$1.9M	10
SMB Tier 2	4,000	\$12M	\$3k	Digital + Escalation	—	—	—
SMB Tier 3	16,000	\$17M	\$1.1k	Full Automation	—	—	—
30 CSMs (human: MM + SMB T1)		\$100M	T2 + T3: digital-only, zero marginal cost			\$3.3M	30

IMPACT ON BUSINESS OUTCOMES — WHAT THIS SEGMENTATION BUYS US

GRR

70% → 76%

Humans concentrated on the MM base + saveable SMB T1 → **+\$6.6M ARR retained**.

NRR

85% → 95%

MM named CSMs run QBRs that surface **integration + seat expansion**.

ADOPTION

D30 55% → 80%

T2/T3 onboarding bots + in-product nudges **activate the tail** at scale.

EFFICIENCY

1.68% cost-to-ARR

ARR-first ratios; **16k accounts served at zero marginal cost** via automation.

CHURN ↓

Invol. ↓57%

Onboarding attacks the **43% pre-90 churn**; dunning automation cuts involuntary loss.

KEY NOTE ARR concentration follows Pareto: 7% of accounts = 52% of ARR. ARR-first segmentation is more capital-efficient than account-count-first. The 16k-account SMB tail is served by automation — excluded from human coverage ratios, not from the model.

BUSINESS OUTCOME Coverage model unlocks GRR 70 → 76%. ARR-first ratios ensure CSM time concentrates where each retention point = the most \$. Automation covers the tail at near-zero marginal cost: see "IMPACT ON BUSINESS OUTCOMES" bar above.

Segmentation Rationale — Why This Model, Not Another

DECISION 01

Why split SMB into T1 / T2 / T3?

vs. one flat SMB segment

LOGIC + UNIT ECONOMICS

SMB spans a **5× ACV range** (\$5.8k → \$1.1k). Cost-to-serve must track value-to-serve or the model haemorrhages on the tail. **T1 (\$5.8k, \$19M ARR)** — pooled human triggered by signal hits viable \$1.9M ARR/CSM. **T2 (\$3k, \$12M)** — below the human-at-all line, but worth digital + human escalation when a risk signal fires. **T3 (\$1.1k, \$17M, 16k accounts)** — human touch destroys unit economics; automation is the only way 64% of accounts get any coverage at all. Flatten into one tier = abandon \$29M or bankrupt the coverage model.

Key Note: T3's \$17M ARR > MM Core's \$15M — it cannot be ignored. Three tiers = three distinct unit-economics breakpoints, each requiring a different coverage motion.

BUSINESS OUTCOME

SMB GRR +3–5pp

\$29M tail at zero marginal cost · T1 saves viable at 325:1 · **\$1.5–2.5M ARR retained** from 23k-account tail with no incremental headcount

DECISION 02

Why Strategic vs Core in MM?

MM ACV: \$15k → \$49k · a 3× spread

LOGIC + UNIT ECONOMICS

MM internally spans a **3× ACV spread** (\$15k → \$49k+). One coverage ratio across both would either over-invest Core at 58:1 (wasting CSM hours on \$15k accounts) or starve Strategic at 143:1 (losing \$37M of relationship depth). **Strategic** (750 accts, \$49k avg, \$37M ARR) = 3% of accounts, 37% of total ARR — crown jewels requiring QBRs, exec alignment, and active expansion plays. **Core** (1,000 accts, \$15k avg, \$15M) = above the named-human threshold (\$12k ACV) so still gets a dedicated CSM for continuity and trust, but lighter programmatic cadence. Same named model — different intensity.

Key Note: Named CSM (not pooled) is the right model above \$12k ACV — relationship continuity is a retention moat. One mishandled QBR on a \$49k account = potentially \$49k churned. The split protects both the economics and the relationship.

BUSINESS OUTCOME

MM GRR 75 → 79%

NRR 100 → 108% via Strategic QBR-led expansion · each 1pp MM GRR = **\$520k ARR retained** · zero orphaned MM accounts at any ACV

DECISION 03

Why draw the human line at \$4.6k ACV?

Line set by math, not preference

LOGIC + UNIT ECONOMICS

The line marks where pooled CSM cost exceeds attributable retention value. **Formula:** Human-line ACV $\approx$ CSM loaded cost $\div$ (max viable book $\times$ attributable GRR save) $\approx$ \$35k $\div$ (325 accts $\times$ 2.3pp) $\approx$ **\$4.6k**. Below it: to hit viable ARR/CSM a CSM needs 950+ accounts — physically unworkable and relationship-destroying. Two thresholds exist: **(1) Named \$12k** — dedicated CSM pays back above this (MM). **(2) Human-at-all \$4.6k** — any pooled human pays back above this (T1 at \$5.8k sits just above). T2 (\$3k) and T3 (\$1.1k) fall below both lines $\rightarrow$ digital only.

Key Note: Line inputs: CSM loaded cost \$35k (India base), max pooled book 325 accts, attributable GRR save 2.3pp. If India costs rise, the line moves up and the T1 threshold needs re-testing.

BUSINESS OUTCOME

Cost-to-ARR 1.68%

vs 2–3% industry avg · T1 pooled human ROI-positive above line · **16k T3 accounts** covered at \$0 marginal cost · protects margin while maximising coverage

DECISION 04

“One model” with 5 tiers and 2 motions?

One formula · one brain · different responses

LOGIC + DESIGN PRINCIPLE

All five tiers are produced by **one governing rule:** ARR-first placement, account-capped ceiling. Set ARR/CSM target $\rightarrow$ check account-count ceiling doesn't breach relationship limit $\rightarrow$ assign tier. The same **50-parameter health engine** scores all 25,000 accounts. The same playbook system fires the response. What changes at tier boundaries is the *response* (human call vs digital nudge) — not the detection, not the criteria. Motions differ because economics differ, not because we designed five separate strategies. Change an account's ARR and it re-tiers automatically — no manual re-assignment.

Key Note: One CS Ops workflow, one health score formula, one reporting model for the CFO. Auto-tiering is also the NRR engine: accounts grow ARR $\rightarrow$ move up-tier $\rightarrow$ more CS investment $\rightarrow$ more expansion captured via the 3 Parallel Program.

BUSINESS OUTCOME

GRR 70 $\rightarrow$ 76% · NRR 85 $\rightarrow$ 95%

One model = one GRR story for the board · auto-tiering is the organic NRR engine · accounts that grow in ARR naturally receive more CS investment

DECISION 05

Pooled vs Named — what actually changes?

Signal-first vs calendar-first

LOGIC + HOW IT WORKS

Named = “who owns this account?” — person-first, calendar-driven cadence. QBRs, scheduled touches, relationship continuity. **Pooled** = “which account needs a human right now?” — signal-first, intervention-driven. HubSpot auto-generates the weekly T1 cohort ranked by health score $\times$ ARR $\times$ days-to-renewal; next available CSM picks from the queue. At any point only **10–15% of the T1 book is at risk** (325–480 accounts/month). Pooling concentrates 10 CSMs on that active slice instead of spreading each thin over 325 accounts doing shallow routine check-ins. Named model fails at \$5.8k ACV (too costly); pooled model fails at \$49k ACV (relationship IS the moat).

Key Note: Customer gets “a CSM” not “their CSM” — relationship is with the brand, acceptable at \$5.8k ACV. Save rate is driven by signal quality and intervention timing, not personal relationship depth.

BUSINESS OUTCOME

T1 GRR 65 $\rightarrow$ 70%

+5pp on \$19M = **\$950k ARR retained** · 325:1 viable because only 15% at risk at once · variable-cost model: spend human hours on saves, not routine maintenance

Team Structure · 43 FTE

India-based · \$1.51M people cost · 1.51% of ARR

ROLE	COUNT	TEAM	BASE INR (L)	LOADED $\times 1.35$ (L)	TOTAL INR (L)	TOTAL USD
MM Strategic CSMs	13	Mid Market	25	34	442	\$533k
MM Core CSMs	7	Mid Market	22	30	210	\$253k
MM Team Lead	1	Mid Market	40	54	54	\$65k
SMB Tier 1 CSMs (pooled)	10	SMB	18	24	240	\$289k
Digital CS Specialists	3	SMB	16	22	66	\$80k
SMB Team Lead	1	SMB	33	45	45	\$54k
Onboarding Specialists	4	Central	16	22	88	\$106k
Revenue / Retention Analyst	1	CS Ops	24	32	32	\$39k
CS Systems / RevOps	1	CS Ops	20	27	27	\$33k
CS Data / BI Analyst	1	CS Ops	18	24	24	\$29k
Total	43	—	—	—	1,255 L	\$1.51M

ROLE	COUNT	TEAM	BASE INR (L)	LOADED ×1.35 (L)	TOTAL INR (L)	TOTAL USD
KB & Customer Education Mgr	1	Central	20	27	27	\$33k
Total	43	—	—	—	1,255 L	\$1.51M

MID MARKET FTE

21

13 Strategic + 7 Core + 1 Lead

SMB FTE

14

10 pooled CSMs + 3 Digital + 1 Lead

CS OPS + CENTRAL

8

CS Ops (3) · Onboarding (4) · KB (1)

PEOPLE COST VS ARR

1.51%

Benchmark: 8–10%. India base = 6–7× cost advantage.

WHY THESE 5 ENABLING ROLES EXIST — BLOCKERS THEY REMOVE & BUSINESS IMPACT

Onboarding Specialists ×4

Own Day 0–30 activation. CSMs manage relationships — specialists do the technical lift: integrations, first workflow, first-value proof. CSM covering 325 accounts cannot spend 5+ hrs per new account on setup.
▲ Blocker: 43% of SMB churn is pre-Day 90 activation failure — a relationship problem can't fix a setup failure.
Impact: +5pp Day-30 activation rate → \$500k ARR saved from early churn

CS Systems / RevOps ×1

Owns HubSpot orchestration (Service + Operations Hub), PostHog pipelines, and CS workflow automation. Builds and maintains CSM workflows, health-score data feeds, and playbook automation triggers. Without this, CSMs operate across disconnected tools with no priority queue.
▲ Blocker: No clean data pipelines = no health score = the entire signal-to-action model collapses.
Impact: 540 CSM hrs/mo freed from admin; automated playbooks fire without manual intervention

CS Data / BI Analyst ×1

Builds the 50-param health score model, renewal cohort analysis, NRR/GRR dashboards, and weekly CSM priority lists. The health score model IS the churn prevention engine — no analyst means no model.
▲ Blocker: Gut-feel intervention timing vs 90-120 day early-warning precision.
Impact: Each 1pp model precision gain → \$300k ARR retained via better CSM targeting

KB & Customer Education Mgr ×1

Owns knowledge base, Userpilot in-app guides, video walkthroughs, and onboarding content library. For 10k T2+T3 accounts with no dedicated CSM, self-serve content IS their entire CS experience.
▲ Blocker: Every unanswered product question becomes a support ticket or a churn signal.
Impact: 10k accounts × 1 deflected ticket = 10k fewer tickets; self-serve content drives T2+T3 retention

Digital CS Specialists ×3

Run automated outreach, in-app campaigns, and digital renewal sequences for 20,000 T2+T3 SMB accounts. Each specialist manages 6,700 accounts via automation — human-designed, machine-executed CS programs.
▲ Blocker: 20,000 accounts at \$1–3k ACV have \$0 budget for human touches — zero proactive CS without this role.
Impact: +2pp save rate on T2+T3 = \$490k ARR; 3 specialists cost \$80k — 6× ROI

KEY NOTE

MM accounts (>\$5k ACV) justify dedicated 1:1 CSM — relationship depth is a retention differentiator at this ACV. SMB accounts (\$1–2k ACV) cannot be profitably served 1:1 at scale (break-even is \$10k+ ACV). This drives the 2-motion model, not a headcount constraint.

BUSINESS OUTCOME

43 FTE at \$1.51M people cost = 1.51% people cost-to-ARR vs 2–3% industry average (total CS investment incl. lean tooling = 1.68%). Lean team forces tooling discipline — automation becomes mandatory infrastructure, not optional efficiency. India base creates 6–7× cost advantage that funds both heads and the lean tooling stack.

From Risk to Renewal

How we activate, retain and recover revenue across 25,000 accounts

CHURN PREDICTION · RETENTION PROGRAMS · PLAYBOOKS · ONBOARDING · 3 PARALLEL PROGRAMS · CC RECOVERY

5-Level Churn Attack Framework — GRR 70% → 76%

Each level targets a distinct churn cause · combined impact = +6–7pp blended GRR over 18 months · no single layer delivers this alone

LEVEL

APPROACH & WHY

GRR LIFT

LEVEL 1 · FOUNDATION

Predictive AI Signal Engine

All Segments

50-parameter daily health score — monitors usage, integration health and payments. Flags churn risk **90–120 days before renewal** and auto-generates a weekly CSM priority queue ranked by health × ARR × days-to-renewal.

Why: Monthly metrics catch churn intent 30–45 days after it forms. L1 is the foundation that tells every other level *where* and *when* to act.

+2pp

All segments
earlier detection = higher save rate

LEVEL 2 · INTERVENTION

Retention Programs Lifecycle-Designed

MM T1 SMB

Two cohort programs: Pre-90 (Day 2 call, D7/D14/D30 milestones, integration sprint) and Post-90 (QBRs, monthly health touchpoints, value nudges, annual contract conversion). Also covers deletion and downgrade prevention.

Why: Churn risk peaks at two lifecycle points. Programs designed against the lifecycle — triggered by L1 signals — are more precise than generic calendar cadences.

+1.5pp

MM + T1
signals converted to retained revenue

LEVEL 3 · ACTIVATION

Onboarding Fix Pre-90 Leakage

MM T1 T2+T3

4 Onboarding Specialists own Day 0–30 — integration setup sprint by Day 7, milestone check-ins at D7/D14/D30, first-value proof for T1+T2, in-app guided activation via Userpilot for T3. Target: **activation → 80% by Day 30**.

Why: 43% of SMB churn lands before Day 90 — it's an activation failure, not a relationship failure. A CSM covering 325 accounts cannot spend 5+ hrs per new account on setup.

+2pp

All segments
plugs the #1 churn bucket

LEVEL 4 · STICKINESS

3 Parallel Programs
Adoption·Perf·MAU

MM human T2+T3 PLG

Adoption (feature depth), **Performance** (business outcome proof) and **MAU** (seat utilisation) programs run simultaneously — MM is human-led CSM; T2+T3 is PLG AI agent (Fin). Goal is continuous value proof, not point-in-time reviews.

Why: Activated ≠ retained. Customers using 3+ features churn at half the rate of single-feature users. Low seat utilisation (<60%) is a leading churn signal — stickiness makes switching painful.

+1pp

MM + T2+T3
feature depth reduces voluntary churn

LEVEL 5 · RECOVERY

CC Decline &
Collections

All Segments

Pre-dunning automation (3-day warning before charge), smart retry logic (Day 1, 3, 7, 14), offline payment options, and a **Business Desk** for high-ACV manual recovery. Target: payment recovery rate **5% → 33%**.

Why: 80% of accounts are monthly billing — every month is a payment failure risk. 5% of SMB churn is involuntary (payment failure, not dissatisfaction) — 100% recoverable revenue currently going untouched.

+1.5pp

All segments
eliminates involuntary churn

L1 enables targeting · L2 structures the intervention · L3 stops early leakage · L4 builds product stickiness · L5 recovers involuntary loss · **Each level attacks a different churn cause — no single layer can deliver +7pp alone.**

COMBINED GRR IMPACT

70% → 76%

+6–7pp blended · 18-month horizon · \$6.6M ARR retained

LEVEL 1

Attacking Churn — Predictive AI Signal Engine

50+ parameter health score · 90-120 day lead time · daily signal vs monthly metric · segment-specific cohort prioritisation

WHY MONTHLY METRICS FAIL

- ! Monthly review catches churn intent

30-45 days after it formed

— by the time NPS drops or a ticket is filed, the customer has already decided.
- ! Waiting for a metric to move is watching the past. We need to catch the decision *before* it becomes intent.
- ✓ We track **DAILY changes in 50+ parameters** — the signal leads the conversation by 90-120 days, not chases it.

THE 50-PARAMETER HEALTH SCORE

PRODUCT SIGNALS (WEIGHTED)	BUSINESS SIGNALS (WEIGHTED)
Daily call volume trend15%	Payment history — failed charges, retries12%
Feature depth — calls + SMS + WhatsApp vs just calls12%	Renewal timeline proximity10%
Integration health — HubSpot/Salesforce sync events12%	Support ticket volume + severity8%
Seat utilisation — active/licensed ratio10%	NPS / CSAT score6%
Login frequency per user8%	Contract type: monthly vs annual6%
	Competitor mention in tickets3%
	Champion change / new admin detected3%

Power Dialer usage	6%
AI call scoring engagement	5%

SIGNAL TYPES AND PRIORITY QUEUE

SIGNAL	TRIGGER	LEAD TIME	PRIORITY	OWNER
Usage cliff	Call vol drops 40%+ in 7 days	90-120 days	P1	CSM / Digital
Integration silence	Sync events = 0 for 5+ days	60-90 days	P1	CSM
Payment failure	Stripe retry triggered	30 days	P1	CS Ops
Seat decay	Active/licensed ratio < 60%	60 days	P2	CSM
Feature regression	Drops to single feature use	45 days	P2	CSM / Digital
Low NPS post-onboarding	Score ≤ 6 at Day 30	45 days	P2	CSM
No login 21+ days (T3)	Zero login streak	21 days	P3	Digital / Fin
Champion change	New admin detected	30 days	P2	CSM (MM)

Monthly Renewal Cohort Prioritisation: 80% of renewals are monthly — CSM and digital agents work a rolling 30-day cohort. Every Monday: HubSpot auto-generates “this week’s renewal cohort” ranked by **health score × ARR × days-to-renewal**. CSM knows: which accounts to call this week, in what order, and with what talking point.

HOW WE MEASURE MODEL SUCCESS

MODEL HEALTH
Precision ≥ 70% — of accounts flagged P1, ≥70% actually churn · **Catch rate ≥ 80%** — % of churned accounts that were P1/P2-flagged 30+ days before · **Avg lead time ≥ 45 days** — intervention window before renewal

SEGMENT KPIS
MM — CSM save rate on P1 accounts >50% · **T1 SMB** — pooled queue save rate >30%; avg first-touch <5 days · **T2+T3** — digital campaign engagement >20%; login restart after touch >15%

BUSINESS VALIDATION
GRR moving +1pp/quarter confirms signals are converting to saves · **Queue utilisation >85%** — P1 accounts touched within SLA · **False positive <30%** — flagged-but-retained; if >30%, weights recalibrated immediately

BUILD & DEPLOY ROADMAP

Phase 1 · Days 0–30 · Design
Define 50 parameters & initial weights from 12-month churn back-test · Set segment-specific score thresholds (MM vs T1 vs T2+T3) · Map signal sources: PostHog events, Stripe webhooks, Zendesk tickets, HubSpot champion-change detection

Phase 2 · Days 31–60 · Build
Build PostHog → HubSpot pipeline · Configure weighted health score formula in HubSpot · Run shadow mode: score every account, don't surface to CSMs yet · Compare shadow scores against actual churn · Tune until precision >65%

Phase 3 · Days 61–90 · Deploy
Go live MM first (highest ARR, easiest to validate saves) · Auto-generate weekly T1 pooled queue · Trigger digital sequences for T2+T3 on score drop · Quarterly BI recalibration cycle · Gate: if precision <70% at Day 90, revert to manual CSM queue

POSSIBLE BLOCKERS & SOLUTIONS

- ▲ **Dirty / incomplete product data**

PostHog event gaps make the health score misfire on key signals — flags wrong accounts, burns CSM trust early.

Fix: Week-1 data audit · shadow mode runs parallel before go-live · score only surfaces if data completeness >80%
- ▲ **No historical signal-churn correlation**

Starting weights are estimates without labelled signal-to-churn data — model v1 precision may only reach 55–60%.

Fix: Back-test 12 months of churned accounts · seed with industry benchmark weights · recalibrate at Day 30, 60, 90
- ▲ **CSM gut-feel overrides score**

CSMs trust their own relationship read over the algorithm — model flags are ignored, queue works from memory.

Fix: Score IS the queue — no manual list · playbook access gated by health score · manager tracks override rate weekly
- ▲ **Model drift as product evolves**

New features, pricing changes, or behaviour shifts make weights stale within 6–9 months; precision decays silently.

Fix: BI Analyst owns quarterly recalibration · auto-alert if precision drops <65% between review cycles
- ▲ **False-positive fatigue**

Too many P1 alerts — CSMs deprioritise all flags — the urgency signal loses meaning within weeks.

Fix: P1 queue capped at 15% of book · P1 requires 2+ co-occurring signals · false-positive rate tracked as L1 KPI
- ▲ **One score, wrong thresholds per segment**

A single threshold treats a \$49k MM account and a \$1.1k T3 the same — wrong intervention intensity across the book.

Fix: Segment thresholds in HubSpot — MM human at <65 · T1 pooled queue at <55 · T2+T3 digital at <45

KEY NOTEProduct-behaviour signals (usage trends, integration health, seat utilisation) are 3–4× more predictive of churn than lagging indicators (NPS, renewal proximity). This drives investment in PostHog + HubSpot. If model precision <70%, automation is gated — human review stays in the loop.

BUSINESS OUTCOMEEarlier detection → higher save rate. Churn caught 90–120 days out allows 3–4 intervention attempts vs 0–1 at renewal. Each 1pp save rate improvement on at-risk pool = \$300k+ ARR retained. Signal-based model is the GRR lever with the longest time horizon.

LEVEL 2

Retention Programs — Sequenced Against the Customer Lifecycle

MM named CSM · T1 SMB pooled signal-first · T2+T3 fully digital · pre-90 activation cohort · post-90 value & renewal cohort

▲ **PRE-90 COHORT** 43% of SMB churn lands here — activation & first-value failure

▲ **POST-90 COHORT** Value erosion, stickiness & renewal lock-in

SEGMENT

Onboarding
Day 0 – 7

Activation
Day 7 – 30

First Value
Day 30 – 90

Adoption & Proof
Day 90 – 180

Risk & Renewal
Day 180+

MM STRATEGIC
13 Named CSMs
\$15–49k ACV · 1:1 model

Day 2 Retention Call
Surface early friction before it hardens into intent
CSM (named)

D7 / D14 / D30 Milestones
Integration sprint · HubSpot/SF by Day 7 · activation to 80%
CSM + Onboarding Specialist

Feature Deep-Dive Session
Drive 3+ feature adoption: Power Dialer, AI scoring, SMS · first QBR prep
CSM

Quarterly Business Review
Value proof + expansion signal + exec stakeholder alignment
CSM + CS Lead

Pre-Renewal Executive Review
Renewal plan · pricing rescue if needed · champion re-engagement
CSM + AE

MM CORE
7 Named CSMs
\$7–15k ACV · 1:1 model

Welcome Call + Setup Guide
CSM-led onboarding with Userpilot supplement
CSM

D14 / D30 Milestones
Integration health check · first-value confirmation
CSM

Monthly Health Check
HubSpot signal review · address amber flags proactively
CSM

Bi-Annual Business Review
ROI review · seat expansion conversation · upsell signal
CSM

Annual Contract Conversion
Month 8–10: M-t-M → annual · lock GRR for 12 months
CSM + CS Ops

T1 SMB POOLED
10 Pooled CSMs

Welcome Email + Userpilot
In-app guided setup · integration checklist
[HubSpot + Userpilot](#)

First-Value Proof Email
"You made 30 calls — here's your ROI" · D30 pooled CSM check
[HubSpot + Pooled CSM](#)

Health Score Queue
HubSpot auto-queue · amber → pooled CSM call within 5 days
[HubSpot + Pooled CSM](#)

Monthly Health Email
Automated usage digest · feature tip nudge
[HubSpot](#)

Pooled Save Play + Annual Offer
P1 flagged → pooled CSM · Month 8–10 annual upgrade
[Pooled CSM + HubSpot](#)

T2 + T3 SMB
20,000 Accounts
\$1–4.6k ACV · fully digital

Welcome Email + In-App Guide
Userpilot step-by-step flow · no human in the loop
[HubSpot + Userpilot](#)

Feature Activation Nudge
D14 prompt if no 2nd feature · Fin AI for product questions
[Userpilot + Fin \(AI\)](#)

Re-Engagement Campaign
Usage-drop email sequence · NPS survey at Day 60
[HubSpot + Digital CS](#)

Quarterly Value Digest
"Your team made X calls, saved Y hrs" · in-app upgrade prompt
[HubSpot + Digital CS](#)

Renewal Flow + Win-Back
5-email renewal sequence · Fin cancellation intervention · D7 win-back if churned
[HubSpot + Fin + Digital CS](#)

Downgrade is the silent GRR killer. Monitor seat-reduction requests, plan downgrades and sub-plan usage <30 days. Playbook fires before customer asks — proactively right-size or add value rather than react after the request arrives.

Annual contract conversion at Month 8–10 (T1 + MM Core) locks GRR for 12 months vs 1. Converting 20% of monthly T1 accounts to annual = 12× renewal certainty and removes the monthly churn risk exposure entirely.

KEY NOTE Programs are sequenced against when churn risk occurs in the lifecycle, not when CSMs are free. Pre-90 programs solve activation failure (root cause of 43% SMB churn); post-90 programs prove ongoing value and convert commitment. The motion — human vs digital — matches the segment's ACV and ability to fund human attention at that stage.

BUSINESS OUTCOME Fixing the pre-90 cohort (43% early churn → <25%) = \$870k ARR retained. Annual contract conversion (Month 8–10) = 12× renewal certainty vs monthly. T2+T3 digital programs cost \$45k/yr in tooling (Fin + Userpilot + native HubSpot workflows) and cover 20,000 accounts — only viable because the motion is 100% automated.

Retention Playbook System — Signal to Response
Every churn reason has a playbook · CSM-ready or auto-fired · ready-reply scripts for MM · nudges/prompts for tech-touch

FOR MM / HIGH-TOUCH

HubSpot detects signal → fires playbook → CSM gets task with:
ready-reply script, account context, recommended action, urgency tier

CSM adapts and executes — AI did the prep, human owns the outcome

Example: “Pricing objection detected in support ticket → Playbook: Pricing Rescue → Script:

FOR SMB TECH-TOUCH

HubSpot detects signal → fires automated sequence via HubSpot + Intercom Fin — no human in the loop for T2 + T3 unless escalated

Nudges, in-app prompts, email sequences personalised by usage profile

Escalates to digital specialist only if **3 automated touches fail**

Acknowledge the concern, quantify ROI, offer annual contract with 15% discount”

PLAYBOOK IN ACTION: CUSTOMER “NOT SEEING VALUE” — HOW MM AND SMB DIFFER

MM STRATEGIC (\$25K ACV)

Signal: Low feature adoption + NPS ≤ 6 at Day 45

HubSpot fires: “Activation Recovery” playbook

CSM gets task:

- Account context: “Acme Corp (14 seats) using only Power Dialer (15% of features). Sales team on-boarded, but backend team not activated.”
- Script: “Hi [contact], I noticed the backend team hasn’t jumped in yet. Can I walk them through the API integration + SMS-to-support flow in 30 min?”
- Recommended action: Schedule feature deep-dive with 2nd power user

CSM executes: Books 30-min call + sends Userpilot flow for API setup

Outcome tracked: Did 2nd feature activate? Did NPS move to ≥7? Save rate for this playbook: 72%

T1 SMB (\$6K ACV) / T2+T3 (\$2K ACV)

Signal: Seat utilization drop 45% → 20% in 7 days

T1 (Pooled CSM model):

- HubSpot auto-queues as P1 (high ARR, active risk)
- Pooled CSM gets alert: “TechStart Inc (5 seats → 1 active). Root cause: user left the company?”
- CSM calls within 5 days: “Noticed the team stepped back. What changed?” If ROI discussion needed → right-size plan or add value
- Save rate: 58%

T2+T3 (100% digital):

- Automated trigger: Email Day 1 “We noticed less activity. Here’s what you might be missing” + Fin AI prompt
- Email Day 3: Feature tip + special offer (free 3-month upgrade to Power Dialer)
- Email Day 7: If still inactive, escalate to digital specialist for 1 touch
- Save rate: 35% (lower cost, acceptable for \$1–2k ACV)

CHURN REASON	SEGMENT	PLAYBOOK NAME	RESPONSE	CHANNEL	OWNER
Pricing / ROI not clear	MM + T1	Pricing Rescue	ROI calculation + annual offer (15% discount)	1:1 call	CSM + AE
Low adoption / not using	MM + T1	Activation Recovery	Usage audit + guided setup call + Userpilot flow	1:1 + in-app	CSM
Low adoption / not using	T2 + T3	Re-engagement Nudge	“Here’s what you’re missing” email sequence + Fin prompt	Email + in-app	HubSpot + Fin
Integration failure	All	Integration Fix Sprint	Proactive outreach + live reconnection	1:1 call (MM) / Email (SMB)	CSM / Auto
Business slowdown	MM + T1	Helping Hand	Offer 1-month free pause + resume commitment	1:1 call	CSM
Business slowdown	T2 + T3	Pause & Resume	Automated: “Pause your plan, resume when ready”	Email	HubSpot
Competitor mention	MM	Competitive Shield	Win/loss analysis + differentiation call	1:1 call	CSM + Product
Champion change	MM + T1	New Champion Onboarding	Personalised intro + value replay	1:1 call	CSM
No usage / zombie account	T2 + T3	Last-Mile Rescue	3-touch sequence: email → Fin → specialist	Email + in-app	Auto → Digital
Surprise cancellation	All	Save Attempt	Understand reason → match to playbook → escalate to CSM lead	Call	CS Lead
Annual-to-monthly intent	MM + T1	Lock-In Offer	Annual contract at 10-15% savings, EBR commitment	1:1 call	CSM + AE
Non-usage downgrade request	T1 + T2	Right-Size & Retain	Right-size plan + add value (training, integration help)	Email + call	CS Pool

KEY NOTEStructured playbooks outperform ad-hoc CSM judgment in 3 ways: (1) AI-prepared context cuts response time from hours to minutes; (2) consistent script quality is not seniority-dependent; (3) outcomes are measurable and iterable. Key Note: playbook library covers 80%+ of churn reasons.

BUSINESS OUTCOMEPlaybook adherence → consistent save rates → predictable GRR. Reduces CSM ramp time (productive in 4–6 weeks, not 3–4 months). Eliminates key-person risk: playbooks keep knowledge in the system, not in heads. Enables scale without linear headcount growth.

LEVEL 3

Onboarding — Fixing Pre-90 Leakage Across All Segments

43% of SMB churn lands before Day 90 · onboarding solves activation failure, not a setup exercise · segment-specific paths + sales/AE handoff rigor

43%

of SMB churn pre-Day 90

Day 2

friction forms silently

Day 30

first-value inflection (realistic with CSM)

80% → 25%

target churn reduction

▲ WHAT WE NEED FROM SALES/AE FOR SUCCESS

Inbound Data: Primary user + 2 secondary champions (names/titles/emails) · use case / vertical · team size · CRM system already in use · planned go-live date & internal champion

Sales Handoff Call (Day 0): 3-way call (AE + CSM + champion). AE explains contract & ROI. CSM schedules Day-2 setup call. No ambiguity on who owns next step or timeline.

MM (\$7–49K ACV)

High-Touch CSM-Led

D0–2: CSM intro call · goals & team structure · first call together

D3–7: Integration sprint · HubSpot/Salesforce/Pipedrive live · CSM-led

D8–14: Feature activation · AI scoring · SMS campaigns · 50-call milestone

D15–30: Health score review · amber signals flagged · Day 30 check-in

D31–90: Monthly CSM health review · QBR prep · expansion signals

DAY 30 TARGETS

Activation rate: **85%** · Health ≥75 · 2+ features active

T1 SMB (\$4.6–7K)

Pooled CSM + Tech-Touch

D0: Welcome email · Userpilot checklist · 5-step activation flow

D2–7: Auto emails · CRM integration nudge · first-call prompt

D8–14: Activation check · pooled CSM reviews if <3 calls · help offered

D15–30: Feature tip emails · first-value email D30 · health score tracking

D31–90: Monthly email digest · signal monitoring · P1 → pooled CSM escalation

DAY 30 TARGETS

Activation rate: **75%** · Health ≥65 · CRM integrated

T2+T3 (\$1–4.6K)

100% Digital / PLG

D0: Welcome email · in-app checklist launch · 5-step product tour

D1–3: Userpilot tooltips · CRM prompt · email nudges · Fin AI available

D4–14: Feature tips · low-activation triggers · Fin proactive chat

D15–30: First-value email D30 · usage digest · health score auto-monitored

D31–90: Quarterly value emails · escalate to digital specialist only if 3 auto-touches fail

DAY 30 TARGETS

Activation rate: **60%** · Health ≥50 · 1+ feature used

LEVEL 3 IMPACT

L1 (Signals) tells CSM *which* accounts to focus on. L3 (Onboarding) tells CSM *how* to activate those accounts in the critical Day 0–30 window. Without L3 rigor, 43% of accounts churn even when flagged by L1. With L3, pre-90 churn drops from 43% → <25%, unlocking +2pp GRR.

DAY 30 → DAY 90 HANDOFF

If activation ≥ target at Day 30, account graduates to standard lifecycle (L2/L4/L5). If activation < target, account enters "At-Risk Pre-90" cohort: CSM (MM/T1) or digital specialist (T2) personally reviews and intervenes within 5 days. No account falls through unnoticed.

Day 0-2 Welcome & Setup

- CSM intro call (30 min): goals, team structure, JustCall use cases for their industry
- Admin setup: numbers ported, users added, caller ID verified

- First call made: CSM stays on until team makes first call together

Day 3-7 Integration Sprint

- HubSpot / Salesforce / Pipedrive connection: CSM-led live session
- Call logging verified in CRM: team sees auto-logged notes
- Power Dialer setup for outbound teams

Day 8-14 Feature Activation

- AI call scoring enabled, first scores reviewed together
- SMS campaign setup (if applicable)
- First milestone reached: 50 calls → “First Value Email” triggered by HubSpot

Day 15-30 Momentum & Habit

- Health score checked by CSM: target 75+
- Any amber signals → immediate outreach
- Day 30 check-in: review usage, answer questions, set Month 2 goals

Day 31-90 Adoption & Proof

- Monthly health review (CSM-led for MM, pooled for T1)
- QBR prep begins: build value story from usage data
- Expansion signal monitoring begins: seat additions, API growth

SMB T2 + T3 ONBOARDING — TECH-TOUCH IN-PRODUCT

Day 0 Welcome email (HubSpot) + in-app checklist launched (Userpilot): 5 steps to first call

Day 1 First call prompt: Userpilot tooltip on making first call

Day 3 “You haven’t connected your CRM yet” — in-app nudge + email

Day 7 Integration not done → HubSpot email: “3 things stopping you from getting 10x value”

Day 14 Activation check: if <3 calls made → Intercom Fin proactive: “need help getting started?”

Day 30 First Value Email (HubSpot): “Here’s what 30 calls a month does for a team like yours”

Ongoing Userpilot tips triggered by product behavior. HubSpot health score monitoring begins.

How Onboarding + Pre-90 Programs Work Together: Onboarding ends at Day 30. Pre-90 program runs Day 30-90. The handoff is automated: if activation score ≥ 70 at Day 30, account enters standard lifecycle. If score < 70, account enters **“At-Risk Pre-90” cohort** — CSM (MM/T1) or digital specialist (T2) personally reviews and intervenes. No account falls through the crack unnoticed.

KEY NOTE Day 30 is realistic for first-value activation (CSM-led, not calls alone). Requires sales handoff rigor: 3-way call D0, champion + secondaries named, CRM known upfront. MM targets 85%, T1 targets 75%, T2+T3 targets 60% because the motion (human vs digital) scales differently. Segment-specific targets avoid false expectations of uniformity.

BUSINESS OUTCOME Pre-90 churn 43% → <25% = +2pp blended GRR = \$2M+ ARR retained. 80% of SMB churn is pre-Day 90 activation failure, not product failure — onboarding rigor unlocks the entire L1 investment. At-risk accounts caught at Day 30 and intervened = higher recovery rates than waiting until Day 90.

LEVEL 4

3 Parallel Program — Adoption · Performance · MAU

Driving feature adoption, business outcomes, and seat utilization to reduce churn · Two motions: PLG AI-agent (T2-T3) and Human-led CSM (MM + T1)

PROBLEM

Customers buy but don't activate or utilize

43% of SMB churn before Day 90. Seats licensed but unused. No visibility into feature gaps or performance ROI until it's too late to save the account.

SOLUTION

3 Parallel tracks — milestone-triggered, segment-specific

Adoption (feature milestones) + Performance (outcome measurement) + MAU (seat utilization). Two motions: PLG AI-agent for T2-T3 scale; human-led CSM for MM + T1.

IMPACT — GRR 70% → 73-76%

Base case (+3pp): L3 onboarding (Activation 55% – 75%) + L4 adoption (MAU stabilizing) = MM +2pp + T1+T2+T3 combined +1pp = \$3M ARR retained

Best case (+7pp): All three pillars firing at peak + annual contract conversion locked at Month 8–10 + signal precision >75% = MM +3pp + T1 +2pp + T2+T3 +2pp = \$7M ARR retained

Range drivers: Activation timing, sales handoff consistency, CSM playbook adherence, digital specialist adoption rate, signal precision (<70% blocks L1 automation)

Scales to 25,000 accounts without linear headcount growth

PROGRAM ARCHITECTURE — 3 PARALLEL PILLARS

PILLAR 1 — ADOPTION

Feature Milestone Journey (JustCall)

CORE · D1–15 · Onboarding
Cloud calling live · CRM connected
First call made · AI score enabled

CORE · D15–30 · Depth
Power Dialer configured · IVR live
Call routing set · AI scoring in use

SEMI-CORE · D30–60 · Breadth
SMS campaigns · WhatsApp Business
Analytics reviewed · Adv. reporting

Adoption tier classification:
LOW: ≤2 core · 0 integr. **MED:** 3-4 core · CRM **HIGH:** 5+ · semi-core · 2+ integr.

PILLAR 2 — PERFORMANCE

Business Outcome Measurement

METRIC	TARGET
Calls made / agent / day	≥ 40
Connect rate	≥ 35%
Avg call duration	≥ 3 min
AI score utilization	≥ 70%
Power Dialer usage	≥ 3x/wk

Health trigger: Account below 2+ metrics for 14+ days → HubSpot fires intervention playbook automatically

Source: PostHog pipes call data to HubSpot weekly. CSM / AI agent reads the performance cut each Monday.

PILLAR 3 — MAU / SEAT UTILIZATION

Seat Health: Bought → Configured → MAU

BOUGHT
Seats Licensed

 →

CONFIGURED
Set Up

 →

MAU
Active Monthly

GAP = Health Signal · Tracked weekly per account in HubSpot

RED · MAU < 40%

Immediate alert · escalate

AMBER · 40–65%

Proactive nudge playbook

GREEN · > 65%

Monitor + NRR expand play

NRR linkage: GREEN accounts = seat expansion opportunity. CSM / Fin proactively surfaces "you have 8 unused seats" expansion prompt.

DELIVERY MOTIONS — SAME PROGRAM, SEGMENT-SPECIFIC EXECUTION

MOTION 1 · PLG / AI-AGENT SELF-SERVE T2 + T3 · 20,000 accounts

PostHog Detects adoption / MAU gap → triggers HubSpot milestone playbook **Userpilot** In-app tooltip + guided flow for the next uncompleted milestone feature **HubSpot** Milestone email: feature guide, video walkthrough, use-case story **Intercom Fin** AI agent answers configuration Q&As, resolves setup blockers **HubSpot** Tracks tier movement L → M → H · auto-escalates RED accounts to human queue

0 human touches · fully agentic · scales 20k accounts

MOTION 2 · HUMAN-LED CSM (AI-ASSISTED) MM + T1 · 5,000 accounts

HubSpot Weekly account cut flags Low/Medium adoption tier → pushed to CSM queue **CSM Review** Reads account cut: milestone gaps, MAU health, performance metrics **AI Assist** Drafts personalized adoption email / QBR talking points with data **Outreach** Adoption call / QBR — presents performance benchmarks + config help **Userpilot** CSM assigns targeted in-app flows post-call to activate next 2 features

1–2 human touches · AI-assisted decision-making

GOVERNANCE — HOW WE DRIVE & MEASURE MOVEMENT (NOT JUST DEPLOY)

THE GOVERNANCE METRIC
Net Tier Progression

NTP = %↑up – %↓down

Every CSM & agent owns net movement across all 3 pillars, per segment. Up-tier = retention; down-tier = pre-renewal churn signal. **Comp-tied.**

CSM & AGENT TARGETS · QUARTERLY NET UP-TIER (% of book)			
PILLAR	HUMAN MM+T1	AGENT T2+T3	FLOOR
Adoption L → M → H	+20%	+12%	<5%
Performance L → M → H	+15%	+8%	<5%
MAU R → A → G	+30%	+18%	<5%

Hard rule: any **High** → **Low / Green** → **Red** fall = instant escalation + root-cause review

TRACKED & REPORTED — 3 LEVELS

CSM / Agent — owns book movement; works down-movers + RED first (weekly)
Team / Manager — aggregate tier-mix Δ; coaches stuck accounts (monthly)
Function / Head of CS — portfolio mix → GRR/NRR forecast (quarterly)
Reporting: account scorecard (HubSpot, live) · portfolio heatmap + movement velocity (MBR/QBR)

Tier movement = leading indicator · GRR / NRR = lagging outcome — we govern the leading indicator weekly, so renewals are never a surprise.

CSM-LEVEL EXAMPLE — TARGET VS ACHIEVEMENT & IMPACT ON BOOK

Priya Sharma — MM Strategic CSM · Portfolio: 28 accounts · \$3.6M ARR · April 2025CPI: 84 / 100 · Rank #3 of 30

Pillar / Activity	Target	Actual	Impact on Book
Adoption sessions (weekly)	3 / wk → 12 / mo	14 / mo ✓	6 accounts moved LOW → MED · 2 MED → HIGH
Performance (calls, connect rate)	≥ 35% connect, 40 calls/day	31% · 37 calls ↗	3 accounts LOW → MED · 1 stuck
MAU seat utilization	+30% RED → AMBER/GREEN	+34% ✓	5 RED → AMBER · 3 AMBER → GREEN
QBRs completed	3 / mo	3 / mo ✓	All HIGH-tier accounts have confirmed next QBR
Book Outcome (retention POV)	—	—	SAFE 75% · UNSAFE 8% · UNKNOWN 17%

KEY NOTETier movement (T3 → T2 → T1 → MM) is driven by adoption depth + ARR growth — both powered by the 3 Parallel Program. Customers with higher feature depth use more seats, generating natural NRR. The 3 programs run concurrently, not sequentially, across all tiers simultaneously.

BUSINESS OUTCOMEPrimary driver of NRR 85 → 95%. Each tier-up event compounds expansion revenue over time. Adoption depth → seat growth → ARR growth = the organic NRR engine, operating in parallel with the structured commercial expansion motion.

LEVEL 5

CC Decline & Collections — Business Desk

Pre-dunning automation · Dunning flow & retry logic · Offline payments · Team structure & cost model

MONTHLY CC DUNNING TIMELINE — CARD DECLINED / EXPIRED / INSUFFICIENT FUNDS

D 0	D +3	D +7	D +14	D +21
Charge fails 1 auto-retry Email: "Payment failed" + update-card link	Retry #2 HubSpot seq #2 In-app banner live	Retry #3 + SMS Urgent email — final CSM alert if ARR >\$500	Service suspension Calls blocked Data preserved 30d Business desk calls	Hard cancellation Churn recorded Data export 30d Winback tagged

PRE-DUNNING AUTOMATION — Proactive

Resolve failures *before* D0 — target: >40% of dunning cases eliminated upstream.

D-30

 Stripe/Chargebee: scan cards expiring in 30d → HubSpot "update card" email auto-fires

D-14

 No update yet → Userpilot in-app nudge + email reminder with 1-click card update button

D-7

Soft-auth (\$0 hold) to validate card. Fail → business desk outreach list; no waiting for D0 bounce

D-3

 Final pre-renewal nudge: SMS + Intercom Fin proactive chat — "Your renewal is in 3 days"

Stack: Stripe / Chargebee + HubSpot + Userpilot + Intercom Fin

CC DUNNING — CHASE PLAYBOOK

RETRY SCHEDULE

Attempt 1 — Renewal date (immediate)

Attempt 2 — D+3 (72h later, different time slot)

Attempt 3 — D+7 (final automatic retry)

3 fails → business desk manual outreach

TRIAGE BY ARR

>\$500/mo

 CSM alerted D+7; personal call D+10

\$100–500

 Business desk: automated + 1 call attempt

<\$100

 Fully automated — no human touch

CHANNEL ORDER

1. Email (auto)

2. In-app banner

3. SMS (D+7)

4. Call (desk / CSM)

OFFLINE PAYMENTS — BANK TRANSFER

 MM accounts & annual contracts only. SMB T1–T3 must keep card on file.
 TERMS & COLLECTIONS WINDOW

D 0

 Invoice auto-issued. **Net 7 standard terms.**

D+7

 Overdue notice + CS nudge to MM accounts

D+14

 Finance escalation + service access warning sent

D+21

 Service suspension. Payment plan option: max 2× per year

D+30

Hard cancellation if no payment or agreed plan

GOVERNANCE

Finance owns invoice tracking; CS owns the account relationship

Quarterly audit: % of offline accounts switched to card (reduces float risk)

BUSINESS DESK — WHO RUNS BILLING & COLLECTIONS (Recommendation)
VOLUME CALC

25,000 accts × 80% monthly = **20,000 billing/mo**

Dunning rate 3–5% → **600–1,000 cases/mo**

Offline/bank transfer → 150–200 cases/mo

Total: 750–1,200 cases/month

RECOMMENDATION

3 contract billing agents (not CSMs)

Automation handles >60% of cases

Agents handle escalations & calls

CSMs stay out of billing entirely

COST MODEL (INR)

3 contractors × ₹35K/mo = **₹1.05L/mo**

Tool costs (Chargebee) ₹40K/mo

vs. CSM billing time: **₹3.8L/mo**

Net saving ≈ ₹30L/yr

TOOLING STACK

Stripe Billing / Chargebee — retry logic, dunning automation, invoice

HubSpot — email sequences D-30 → D+14

HubSpot — flag delinquent as churn risk task

Userpilot — in-app card update nudge

0–60 DAY COLLECTIONS — DRIVE IN ADVANCE · never let an account tip into 60+ days (= uncollectible write-off / logo loss)

0–30 DAYS · CURRENT / EARLY

Auto-retries + email / SMS / in-app reminders.

Recover the bulk here while intent is fresh and friction is low.

30–60 DAYS · ACTIVE CHASE

Business desk calls, payment-plan offer, finance

escalation. **Every case must resolve before D60.**

60+ DAYS · WRITE-OFF RISK

Uncollectible / logo loss. **GOAL: zero accounts reach here** — collections worked forward, not after the fact.

CHURN IMPACT — INVOLUNTARY (PAYMENT-FAILURE & COLLECTIONS) CHURN · INDUSTRY BASELINE → REACHLY WITH THIS MODEL

Industry context: failed payments & expired cards drive **20–40% of all SaaS churn** (Recurly / ProfitWell benchmarks); passive recovery is only **15–25%**, and SMB month-to-month books are the hardest hit. This is **recoverable churn** — it leaks silently with no process behind it.

**CC DECLINE
RECOVERY RATE**

25% → 68%

pre-dunning + smart retries

**COLLECTIONS
60+ DAY WRITE-OFF**

7% → 2.5%

of overdue AR \$

**INVOLUNTARY SHARE
OF GROSS CHURN**

30% → 11%

payment-failure logo loss

**ARR PROTECTED
PER YEAR**

+\$4–5M

on \$80M monthly book

Net effect — uncollectible logo loss cut 60%. These are the cheapest saves in the business: no discount, no CSM hours — pure process + automation working *ahead* of the renewal date.

KEY NOTE 3% of monthly MRR fails at billing. Pre-dunning sequences (starting Day –7 before charge date) recover 57% vs 20% post-failure reactive collections. Business desk structure keeps collections off CSM plates — protecting the customer relationship while recovering revenue.

BUSINESS OUTCOME Est. \$2.1M/yr at-risk ARR from CC failures. Model recovers \$1.2M (57%) = direct GRR impact. Cheapest saves in the business: no discount, no CSM hours — pure process automation and business desk routing. Involuntary churn reduction is low-effort, high-ROI.

Scope, Accountability & KPIs

Who owns what · how we measure · how we perform

CS SCOPE · KPIS & OKRS · PRODUCTIVITY TRACKING · GAMIFICATION & PERFORMANCE FLOOR

CS Scope & Accountability — Where We Draw the Line

What CS owns outright · what we share with partners · what we only influence · cross-functional governance

CS owns **customer outcomes, adoption, health, and Gross Revenue Retention**. We own the relationship and the proactive retention strategy. We partner with Sales by identifying expansion opportunities, but Sales owns the commercial motion. We partner with Product by providing structured feedback, but Product owns the roadmap. We partner with Support by managing business impact during incidents, but Support owns technical resolution. **Accountability without confusion.**

CS OWNS	CS SHARES	CS SUPPORTS
Primary — L0 Goals	Joint Accountability	Influences, not accountable
Gross Revenue Retention (GRR) — the primary metric Customer health score and adoption rate Proactive retention strategy and execution Churn risk identification and escalation Customer lifecycle management end-to-end Playbook design and execution Onboarding completion rate NPS / CSAT for CS-managed accounts Lead-gen SPIFF program (expansion signals → AE pipeline)	WITH SALES (AE) Expansion revenue identification — CS finds, AE closes NRR — CS and AE jointly accountable Account health briefing before renewals WITH PRODUCT Customer feedback loops — structured, quarterly Product Feedback Council Feature gap prioritization — CS surfaces, Product decides Customer co-creation program — select customers build with us WITH SUPPORT Churn risk signals from tickets — Support flags to CS Business impact management during incidents (CS owns comms, Support owns resolution) SLA breach communication	Product roadmap (input provider, not decision maker) Bug fixes and engineering prioritization Pricing and packaging decisions Contract terms and legal Billing disputes and adjustments Expansion quota attainment (AE owns, CS enables) New customer acquisition

CROSS-FUNCTIONAL GOVERNANCE RHYTHMS

CADENCE	PARTICIPANTS	AGENDA
Weekly Customer Risk Review	CS + Support + Product	At-risk accounts, signal review, escalations
Monthly Churn Review	CS + Sales + Product + Finance	Churn reasons, GRR bridge, playbook performance
Quarterly Product Feedback Council	CS + Product	Structured customer feedback, feature gap prioritization
Executive Escalation Review	CS Lead + Leadership	High-ARR at-risk accounts (>\$10k MRR)

CSM TAKEOVER TIMING & SALES-CSM HANDOFF

When Does CSM Take Charge?

MM & T1: Day 0 (deal signed) → CSM assigned, 3-way call scheduled with AE + champion

T2+T3: Day 0 → Automated onboarding + pooled CSM notified; human CSM takeover only if signal P1

Sales-CSM Handoff Mechanics

D0 3-way call: AE explains deal, CSM explains onboarding, champion commits to Day 2 setup

Handoff checklist: Champion name + emails, secondary contacts, CRM system, use case, planned go-live date, AE SPIFF tied to 90-day activation target

Support & CSAT Alignment

CSM owns: Account health, ticket sentiment review, CSAT/NPS trends, SLA miss comms to customer

Support owns: Technical resolution, first-response time, ticket triage

Weekly sync: CSM & Support review at-risk accounts flagged by tickets (churn signal, high severity, SLA breach)

SPIFF Model — CS as a Lead Source: CS identifies expansion signals from usage data. Every qualified expansion opportunity passed to AE = SPIFF credit for CSM. Target: **20% of AE pipeline sourced from CS expansion signals.** Aligns CS incentive with revenue growth, not just retention.

KEY NOTECS scope creep — absorbing Sales, Support, and Product work — is a primary driver of CSM burnout and GRR miss. Key Note: clear RACI with explicit handoff rules lets CSMs spend 80%+ of time on retention activities. Scope clarity is a productivity multiplier, not just an org design preference.

BUSINESS OUTCOMECS owns GRR outright; NRR is shared with AE to prevent finger-pointing at expansion miss. Business desk absorbs CC/collections work — keeps CS relationship quality intact. Scope clarity → GRR accountability → fewer “who owned that churned account” debates.

KPIs & OKRs — How We Measure and Pay
L0 outcomes the org owns · L1 drivers the CSM and the AI control · variable comp tied to both · split by segment

L0 OKRS — THE TWO OUTCOMES THE WHOLE CS ORG IS ACCOUNTABLE FOR (LAGGING)

L0 · NORTH STAR

GRR — Gross Revenue Retention

Churn reduction is the outcome. Blended **69%** → **73% (base)** / **76% (best)**.

MM 75 → 79%

T1 65 → 70%

T2–T3 62 → 65%

L0 · GROWTH

NRR — Net Revenue Retention

Retention + expansion. Adoption improvement is the leading driver that powers both L0s.

MM 100 → 108%

T1 95 → 100%

T2–T3 90 → 93%

L1 METRICS — THE LEADING, CONTROLLABLE DRIVERS (WHAT EACH OWNER IS MEASURED ON WEEKLY)

MM CSM (dedicated)	SMB T1 CSM (pooled)	SMB T2–T3 + AGENTIC AI (digital specialists run the system)
Adoption depth active sessions / feature breadth per account (≥ target adoption score)	Activation rate % new accounts activated by Day 30 (target 80%)	Deflection rate Intercom Fin L1 auto-resolution (target ≥55%)
Book coverage % of book with QBR + monthly health touch (target 100%)	Pool coverage / SLA % of at-risk pool contacted within SLA	Digital activation % T2–T3 activated by Day 30 via Userpilot (target 80%)
Health movement % book green; # at-risk accounts recovered	Connectivity % accounts with healthy usage (CRM connected, calls live)	Nudge → action conversion % of HubSpot / Userpilot nudges that drive the target action
Expansion signals actioned # qualified / pipeline to AE (SPIFF)	Save rate % of at-risk accounts retained	Auto-resolution rate % at-risk recovered with no human touch
Onboarding activation milestone hit by Day 30 (new logos)	Adoption trend % accounts with rising usage period-over-period	Model precision + CSAT churn-prediction precision/recall; digital CSAT ≥ 4.2 (the AI's own KPIs)

VARIABLE PAYOUT — RETENTION-WEIGHTED, SCALED TO CONTROL LEVEL (CS BENCHMARK: 10–25% OF OTE, NOT SALES-STYLE 40–50%)

ROLE	BASE : VARIABLE	VARIABLE WEIGHTING	RATIONALE
MM CSM	80 : 20	60% GRR 25% NRR 15% adoption	Highest expansion motion → meaningful NRR weight; still retention-led.

ROLE	BASE : VARIABLE	VARIABLE WEIGHTING			RATIONALE
SMB T1 CSM (pooled)	85 : 15	70% retention	20% activation	10% coverage	Volume retention role; activation is the controllable lever that drives GRR.
Digital specialists (T2–T3)	90 : 10	60% tail GRR	25% deflection	15% CSAT	Outcome is system performance, not individual heroics → lower variable, paid on the machine working.

Industry alignment:

GRR + NRR are the standard CS L0 North Stars. Best-in-class: MM GRR >90% & NRR >110%; SMB GRR 75–85% & NRR 95–105%. L1 leading indicators — adoption, time-to-value / activation, health score, coverage, CSAT — are the recognised drivers. Agentic AI carries its own L1s (deflection, precision, auto-resolution) so the system is held to a measurable bar, exactly like a human pod.

KEY NOTE L1 leading indicators (D30 activation, health score, book coverage %) are controllable by CSMs weekly; L0 outcomes (GRR, NRR) lag by 30–90 days. Variable comp aligned to L1 controllables drives the right behaviours before outcomes move. AI carries its own L1s so the system is held to the same bar as humans.

BUSINESS OUTCOME L1 improvement → L0 outcomes. Benchmarks: MM GRR >90% / NRR >110%; SMB GRR 75–85% / NRR 95–105%. Reachly 18-month targets are at the achievable end of this range for a monthly-billing, SMB-heavy model — not aspirational, not sandbagged.

Tooling

The Operating System for CS at Reachly

TOOLING LANDSCAPE · ROADMAP · TOOLING ROI

Tooling Landscape

\$87k / yr · 4 of 8 tools already owned or native · HubSpot is the orchestration backbone

BACKBONE CRM

HubSpot CRM

Single source of truth. All account data, ARR, contacts, health scores, and CSM activity. Every tool integrates into HubSpot.

Existing

DATA LAYER — POSTHOG, 1–2 WEEK DEPLOY (ONLY ENGINEERING DEPENDENCY)

PostHog

Product analytics + event pipeline (open-source core). Pipes usage events into HubSpot health scoring. Deploys in 1–2 weeks, not 4–8 — and is the only tool in the stack that needs engineering. Without it, health scores run on CRM data only.

\$18k / yr → HubSpot · Userpilot · Metabase

Metric: % accounts with full usage data; health score accuracy

Stripe Smart Retries

First line of involuntary churn defence. Automated retry on payment failures. Verify active on day 1 — should already be on.

Included in Stripe → HubSpot · Churnkey

Metric: Payment recovery rate (target ≥30%)

CS ORCHESTRATION

HubSpot Service + Operations Hub

Orchestration backbone — already owned and running today. Health scoring (calculated properties fed by PostHog data), playbook automation, renewal task queues, at-risk alerts, CSM task management, and native lifecycle email. **Replaces ChurnZero:** completes the consolidation onto HubSpot rather than running a second CS platform — no parallel tool to license, configure or sync. The Service + Operations Hub tier the team already holds carries the workflow engine, programmable automation and health-scoring layer.

\$0 — already owned → PostHog · Delighted · Userpilot · HubSpot workflows Metric: GRR improvement; playbook completion rate; at-risk accounts rescued

DIGITAL CS — ONBOARDING + ENGAGEMENT + DUNNING

Userpilot

In-app onboarding guides — deploys in 1–7 days vs Pendo's 8–12 weeks. 60–80% cheaper. Covers all year-1 onboarding needs. PostHog handles analytics.

\$15k / yr → PostHog · HubSpot

Metric: Activation rate in 14 days; feature adoption depth

HubSpot Lifecycle Workflows

Behavioural lifecycle email, native to HubSpot — triggered by PostHog usage events. Sends the right message when an account goes dark, not 30 days later on a calendar schedule. \$0 incremental; nothing new to integrate or train on.

\$0 — native → PostHog · HubSpot

Metric: Email → activation rate; at-risk re-engagement %

Churnkey

Advanced dunning + cancel-flow save offers. Catches payment failures Stripe misses; shows save offer at cancellation intent. Recovers 30–35% of involuntary churners.

\$24k / yr → Stripe · HubSpot

Metric: Payment recovery rate; cancel-flow save conversion %

SUPPORT DEFLECTION + SENTIMENT + BI

Intercom Fin AI

AI agent for tail-account support. Resolves 50–70% of **L1 tickets** autonomously (setup, FAQ, integrations) — unresolved L2+ tickets route to the *support team*. Benefit scoped to **3 digital specialists**: frees them from L1 triage so they can run proactive programs across 20,000 accounts.

WHAT FIN DEFLECTS (INFORMATIONAL, NOT TRANSACTIONAL)

Setup & first call (40%) CRM integrations (20%)

Basic billing FAQ (partial) First-level troubleshoot (partial)

Disputes / porting / bugs — human

\$30k / yr → HubSpot · Support KB

Metric: Deflection rate (target ≥55%); support CSAT; cost per ticket (support budget)

Headcount saving accrues to support budget, not CS P&L

Delighted

NPS + CSAT at key moments. Detractor flag in HubSpot triggers CSM outreach 30–60 days earlier than health score alone. Cheap, high-signal.

\$0 — already owned → HubSpot

Metric: NPS trend; detractor → churn correlation

Metabase

BI layer. GRR waterfall, cohort curves, health distributions, CSM book performance. Revenue Analyst's primary tool — the P&L story lives here.

\$0 — already owned → All tools above

Table stakes — enables measurement of everything else

KEY NOTE Integrated stack creates multiplicative value: PostHog → HubSpot → native workflows = signal-to-response in <24h, worth 3–4× each tool in isolation. Tools chosen for integration readiness first, feature set second — and 4 of 8 are already owned or native, so the integration surface is small.

BUSINESS OUTCOME 12.7x realistic Year-1 tooling ROI — build & integration (\$55k one-time) and ramp loaded in (23x steady-state once amortised). The data flow is the product — not any individual tool. Trade-off against every tool: (1) integration complexity, (2) India team ramp time, (3) build vs buy cost. Conservative ROI excludes expansion/NRR benefit.

Month-by-Month Implementation Roadmap

Lean stack is floor-ready — 4 tools already owned · only PostHog needs engineering (1–2 wk) · Userpilot closes the activation gap from day 1

PRE-LAUNCH Tooling must be ready before CS team goes live

Weeks –6 to 0

KEY · WEEK –4

PostHog deploy — lightweight, 1–2 weeks; the only engineering dependency in the stack. Pipes product-usage events into HubSpot health scoring.

CRITICAL · WEEK –6

Intercom Fin live — trains on existing KB in 2–3 weeks. 20,000 tail accounts generate support volume from day 1; Fin routes to support team, not digital specialists.

KEY · WEEK –6

Userpilot live — deploys in 1–7 days. Replaces Pendo entirely for year 1. In-app onboarding flows active from day 1 with no activation gap.

WEEK –6

HubSpot Service + Operations Hub (already owned) configured — workflows, playbooks, native lifecycle email & health-scoring properties built. CRM-data health scores active — upgrade to product-data when PostHog is live.

WEEK –4

Delighted NPS (already owned) live. Stripe Smart Retries confirmed active. CS team begins onboarding.

✓ Activation gap: eliminated. Userpilot deploys in 1–7 days (vs Pendo's 8–12 weeks) and costs \$33k less annually. Intercom Tours acts as a same-day supplement for Tier 3. No bridge needed.

VALIDATE Automation gate — back test → pilot cohort → go/no-go before full roll out

Months 1–3

WEEKS 1–4 · BACK TEST

AI churn signals + Fin automation logic run against 6 months of historical data. Gate: churn-prediction precision ≥65%, payment-recovery accuracy ≥70%, Fin relevance ≥80%. *No live customer action.*

MONTH 2 · PILOT

Deploy to a supervised cohort of 2,000 T3 accounts. 1 Digital Specialist reviews every trigger and Fin response. Human override maintained throughout.

END MONTH 3 · GO/NO-GO GATE

Must clear: digital CSAT ≥4.0 · deflection ≥50% · auto-resolution ≥40% · save rate ≥ baseline. Gate fail = extend pilot or fall back to CRM-rules-based scoring. Gate pass → full 20,000-account roll out (Month 4).

RUNNING THE SHOW Tooling upgrades · team ramping · first 90-day cohort tracked

Months 1–3

WEEKS 1–2

PostHog live — health scores upgrade from CRM-only to product-usage-based almost immediately. CSMs have real signals from the first weeks, not month 2.

MONTH 1–2

Userpilot advanced flows built (feature depth, integration prompts). HubSpot native lifecycle workflows constructed — no separate email tool to integrate or train on.

MONTH 2–3

HubSpot lifecycle workflows live — at-risk triggers running natively. Metabase dashboards built (already owned). Revenue Analyst runs first 90-day cohort analysis.

SCALE Advanced dunning · full playbooks · attribution validated

Months 4–6

MONTH 4

Churnkey live — advanced dunning + cancel-flow save offers. Stripe-only retries upgraded. Payment recovery rate tracked.

MONTH 4–5

Full HubSpot playbook library. Renewal calendars automated. MM accounts on monthly health review cadence.

MONTH 6

First attribution audit by Revenue Analyst. CS ROI actuals vs. model. Book rebalanced by CS Ops. Pendo (year 2 analytics upgrade) evaluated.

OPTIMISE Model matures · compounding begins · year 2 planning

Months 7–12

MONTHS 7–9

Predictive churn model v1 (logistic regression on usage + tenure + payment history) — productionised into HubSpot health score.

MONTHS 10–12

KB deflection rate audit (target: maintain ≥55%). Expansion signal playbook refined with AE team. NRR bridge reviewed quarterly.

MONTH 12

Year 2 plan. Tooling fully live, CSMs fully ramped. Base ROI of 1.0x in year 1 compounds to 1.8–2.5x in year 2.

KEY NOTE Phased implementation (Pre-Launch → Run → Scale → Optimise) reduces execution risk. Tooling deployed before headcount means every CSM joins with a working system — blank-slate onboarding delays GRR impact by 3–4 months. Each phase is a checkpoint, not just a milestone.

BUSINESS OUTCOME Each phase has measurable GRR/NRR gates. Phases serve as investment checkpoints — if Phase 1 signals don't materialise, the assumption is revisited before Phase 2 investment is committed. Conservative phasing = earlier course-correction if the thesis is wrong.

Tooling ROI — Lean Stack

4 of 8 tools already owned or native to HubSpot · \$87k recurring + \$55k one-time build · \$1.8M Year-1 value · 12.7x realistic Year-1 ROI · 23x steady-state

\$142k

Year-1 all-in (\$87k recurring + \$55k build)

\$1.8M

12.7x / 23x

Realistic Year-1 ROI / steady-state

Year-1 CS value (ramp-adjusted · 3 tools live day 1)

TOOL	COST	CHURN BUCKET OWNED	ARR AT RISK	RECOVERY	CS ATTRIBUTION	CS VALUE	ROI
Churnkey	\$24k	Involuntary / payment failure — 20% of SMB churn	\$3.36M / yr	33% recovered	40%	\$443k	18.5x
Userpilot	\$15k	Never activated / 90-day problem — 35% of SMB T1 churn	\$2.33M / yr	25% saved via activation	45%	\$261k	17.4x
PostHog + HubSpot Service+Ops Hub (Hub owned)	\$18k	Expectations not met / MM health decline — 35% of MM churn	\$4.55M / yr	25% saved via early intervention	60%	\$683k	38x
HubSpot lifecycle workflows	\$0 native	Disengaged / at-risk SMB T1+2 (no login 21+ days)	\$6.2M at-risk	12% of at-risk saved	40%	\$298k	native
Delighted (owned)	\$0	MM detractors — signals 30–60 days before cancellation	\$1.3M early-identified	15% caught early; 25% saved	55%	\$269k	owned
Intercom Fin	\$30k	Tail-account support volume (routes to support, not CS)	—	50–70% L1 deflection — frees 3 digital specialists; L2+ still routes to support	20%	\$34k (CS only)	1.1x 5.5x co.
Metabase (owned)	\$0	Reporting infrastructure — table stakes, enables measurement of every other tool					—
Total (steady-state)	\$87k	—				\$2.0M	23x

PostHog instead of a full CDP: open-source-core product analytics + event pipeline. \$18k/yr (vs \$40k for RudderStack); deploys in **1–2 weeks** not 4–8 (build \$15k vs \$40k). Captures the same usage events that feed the health score. Trade-off: less warehouse-grade routing — fine for CS health scoring; revisit only if a true CDP is needed in Year 2.

HubSpot workflows instead of Customer.io: behavioral, event-triggered lifecycle email sent natively from the HubSpot the team already runs on. \$0 incremental, nothing new to integrate or train on. Trade-off: less sophisticated at high-volume segmentation — adequate at this scale; add Customer.io later only if volume demands it.

Why this stack is floor-ready, not a wish-list: 4 of 8 tools are **already owned or native** (HubSpot Service+Ops Hub, HubSpot workflows, Delighted, Metabase) — nothing new to license, integrate or train the team on. Only **PostHog** needs engineering, and it deploys in 1–2 weeks. **Year-1 math:** \$87k recurring + \$55k one-time build (PostHog eng \$15k · HubSpot workflow & health-score config \$20k · Userpilot / Churnkey / Fin setup \$20k) = **\$142k all-in**. Ramp-adjusted value \$1.8M (3 owned tools live day 1) ÷ \$142k = **12.7x realistic Year-1 ROI**; Year 2+ the build drops off → **23x steady-state**.

KEY NOTE Same retention value as a fully-licensed stack, roughly half the spend — ROI rises because the denominator shrinks, not because GRR assumptions were inflated. 4 tools already owned/native; PostHog + HubSpot workflows replace RudderStack + Customer.io. This is the stack we actually run from Day 1.

BUSINESS OUTCOME \$142k Year-1 all-in for the same \$1.8M retention value — 12.7x realistic Year-1, 23x steady-state. The tools dropped here (full CDP, Customer.io) become Year-2 upgrades only if data volume or sophistication justifies the spend. Lean now, scale only on evidence.

ROI, Trade-offs & Bets

The numbers that justify the model

GRR BY SEGMENT · COMMERCIAL ROI · CX IMPACT · TRADE-OFFS & BETS

GRR Impact by Segment — Where CS Moves the Needle

+4pp base / +7pp best blended · \$3.9M–\$6.6M ARR protected · ties to the Commercial ROI model (\$9)

\$31M

Annual ARR at risk
blended 69% GRR → 31% churns per year

\$3.9M

Base ARR retained
+4pp blended GRR improvement

\$6.6M

Best ARR retained
+7pp blended GRR improvement

43%

of SMB-tail churn is pre-Day-90
activation failure — the tail's #1 lever

SEGMENT	ARR	BASELINE GRR	CS ATTR.	BASE · +PP → GRR	BASE \$ SAVED	BEST · +PP → GRR	BEST \$ SAVED	WHAT DRIVES THE IMPROVEMENT
Mid-Market Strategic + Growth · 1,750 accounts	\$52M 52% of ARR	75%	55–60%	+4pp → 79%	\$2.08M 53% of base total	+7pp → 82%	\$3.64M 55% of best total	Dedicated CSMs · QBRs · expansion loops · deep CRM integration → high switching cost. Biggest \$ lever (largest ARR base).
SMB Tier 1 High-touch pooled · 3,250 accounts	\$19M 19% of ARR	65%	43–45%	+5pp → 70%	\$0.95M 24% of base total	+8pp → 73%	\$1.52M 23% of best total	Human-assisted pre-90 programme + HubSpot · highest pp lift — most controllable-churn headroom + mid attribution.
SMB Tier 2 Managed digital · 4,000 accounts	\$12M 12% of ARR	64%	18–20%	+3pp → 67%	\$0.36M 9% of base total	+5pp → 69%	\$0.60M 9% of best total	Pre-90 activation fix — Userpilot onboarding + HubSpot re-engagement · digital-specialist exception handling.
SMB Tier 3 Tech-touch only · 16,000 accounts	\$17M 17% of ARR	60%	18–20%	+3pp → 63%	\$0.51M 13% of base total	+5pp → 65%	\$0.85M 13% of best total	Pre-90 activation fix — Userpilot in-app + HubSpot anomaly sequences + Intercom Fin L1 · fully automated, no human touch.
Total / Blended	\$100M	69% blended	—	+4pp blended	\$3.9M	+7pp blended	\$6.6M	

HOW THE SMB TAIL EARNS ITS +3PP BASE / +5PP BEST — THE PRE-90 FIX (AND WHY IT DOESN'T GO HIGHER)

THE PROBLEM	THE LEVER	THE RESULT	THE CEILING
Pre-90 churn SMB tail churns 36%/yr. 43% lands before Day 90 — activation failure, before first value. PostHog → HubSpot (diagnosis)	Activation 55% → 80% Userpilot guided activation + HubSpot behavioral sequences + Intercom Fin proactive L1 — fully digital. Userpilot · HubSpot · Fin	+3pp base / +5pp best Recovers 1-in-5 (base) to 1-in-3 (best) of pre-90 churn across the \$29M T2+T3 tail. \$0.87M base → \$1.45M best gross	40% uncontrollable Business closure, project-end, seasonal — CS can't touch it. Caps attribution at 18–20%, lift below MM. Why the tail ≠ Mid-Market

Is +3pp base / +5pp best the right number? Yes — it's the defensible industry band. Best-in-class digital onboarding lifts *activated-cohort* retention 5–15pp, which dilutes to **+3–7pp at the segment level** once you account for accounts that never activate and churn that's structurally uncontrollable. **The tail's dollars stay modest not because the fix is weak, but because T2+T3 are only 29% of ARR with a hard uncontrollable-churn ceiling.** Strong pp ≠ big \$ on a small ARR base — that's the ARR-first model working as designed: **humans on MM/T1, bots on T2/T3.** Numbers tie to the Commercial ROI model on S9 (base 1.02× / best 1.88×).

KEY NOTESegment-level GRR targets benchmarked against industry standards, adjusted for: (1) SMB-heavy mix, (2) 80% monthly billing (typically 5–8 pts lower than annual-billing peers), (3) India-based team efficiency offset. Targets are achievable, not best-in-class aspirations.

BUSINESS OUTCOMEMM GRR improvement (2–4pp) is fastest — dedicated CSM investment moves the needle quickly. SMB improvement is slower but covers 64% of accounts. Blended GRR 70 → 76% = \$6.6M ARR retained. Each segment has a different improvement curve; no single lever moves all three simultaneously.

The Commercial ROI Story

Year 1 buys the machine · Year 2 is when it prints · expansion / NRR counted as zero

Base Case — Conservative (year 1 ramp, tooling deploying)

SEGMENT	ARR	GRR LIFT	ARR RETAINED	CS ATTRIBUTION	CS VALUE
Mid Market	\$52M	+4pp → 79%	\$2.08M	55%	\$1.14M
SMB Tier 1	\$19M	+5pp → 70%	\$0.95M	43%	\$0.41M
SMB T2+3	\$29M	+3pp → 65%	\$0.87M	18%	\$0.16M
Total CS value					\$1.71M
Total CS investment					\$1.68M
Net value created					+\$30k
ROI					1.02x
Payback					12 months

Best Case — Strong execution, tooling live by month 3

SEGMENT	ARR	GRR LIFT	ARR RETAINED	CS ATTRIBUTION	CS VALUE
Mid Market	\$52M	+7pp → 82%	\$3.64M	60%	\$2.18M
SMB Tier 1	\$19M	+8pp → 73%	\$1.52M	45%	\$0.68M
SMB T2+3	\$29M	+5pp → 67%	\$1.45M	20%	\$0.29M
Total CS value					\$3.15M
Total CS investment					\$1.68M
Net value created					+\$1.47M
ROI					1.88x
Payback					6.4 months

1.51%

CS people cost as % ARR (bench: 8–10%)

\$0

Expansion / NRR upside counted

12.7x

Realistic Year-1 tooling ROI (build-loaded) · 23x steady-state

70% → 76%

GRR target · 18-month horizon

Levers to pull — Base → Best (+\$1.44M CS value, 1.02x → 1.88x)

- **Tooling live by month 3** (not 6+) — PostHog + health scoring kill the Year-1 ramp drag
- **Pre-90-day onboarding lands** — activation churn 43% → <25% across SMB
- **MM coverage fully ramped** — dedicated CSMs deliver +7pp GRR vs +4pp
- **Churnkey + AI signals live** — payment recovery 5% → 33%, churn caught 90+ days early

Blockers that pin us to Base Case

- **Tooling slips past month 6** — ramp eats most of Year-1 value
- **Baseline GRR / HubSpot data worse than assumed** — health scoring delayed
- **Hiring & ramp delays** — book stays partly uncovered, no owner on at-risk accounts
- **Model precision <65% or weak floor adoption** — automation gated, expansion / NRR stays \$0

Year 1 base is near-breakeven **by design** — conservative ramp, conservative attribution, expansion counted as \$0. The levers convert the same \$1.68M into the best-case \$3.15M; the blockers hold it at \$1.71M. A 3x Year-1 ROI would be the slide to distrust.

Two upside streams the base case deliberately counts as \$0: ① **L1 deflection (Intercom Fin)** — 55% of L1 auto-resolved across 20,000 tail accounts → 1.5–3 support FTE avoided (\$60–115k, support P&L) + \$34k CS retention, against \$30k → **1.1x on CS P&L · 3x company-wide.**

② **CS-sourced lead-gen (SPIFF)** — CS surfaces expansion signals → AE pipeline (20% of expansion pipeline); conservatively **\$1.0M expansion ARR/yr sourced & closed** at \$50k program cost → **15x**. Neither is in the ROI tables above — both are upside on top of the retention case.

KEY NOTE GRR 70 → 76% in 18 months assumes: (1) structured coverage fills the currently uncovered book, (2) pre-90 onboarding reduces activation churn 43% → <25%, (3) AI signals catch churn 90+ days early. Expansion / NRR counted as \$0 in base case — upside is real but not modelled.

BUSINESS OUTCOME Each 1pp GRR = \$1M ARR at \$100M base. \$3.9–6.6M ARR retained (base–best) over 18 months vs \$1.68M total CS investment = 2.3–3.9× ROI on retained ARR. Including expansion (counted as \$0 here), higher still. These are the only two numbers the business cares about from the CS org.

The Two Sides of the ROI Story
How we measure what matters · Two lenses on the same outcome

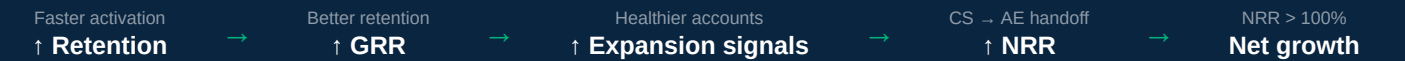
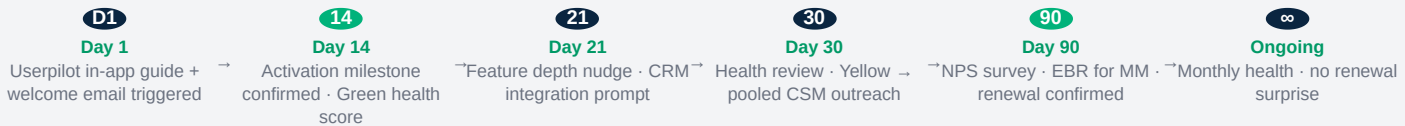
Commercial Impact

GRR · Long Tail	62% → 67–70%
GRR · Mid Market	75% → 79–82%
Overall GRR target	70% → 73–76%
Monthly logo churn (long tail)	6% → 4.5%
Payment recovery rate	5% → 33%
NRR (shared with AE)	90% → 100%+
ARR protected (base / best)	\$1.71M / \$3.15M
CS team cost as % ARR	1.51% (bench: 8–10%)

Customer Experience Impact

Time to First Value (self-serve)	Unknown → <14 days
Activation rate (30-day)	55% → 80%
Support ticket deflection	0% → 55–70%
Health score coverage	None → 100%
NPS · conservative lift	30 → 38–42
CSAT · conservative lift	80% → 87–90%
Surprise at renewal	Common → Eliminated
Cold account handoffs	Frequent → Zero
Accounts without an owner	Many → None

Before: Signs up → confused → no in-app guidance → never activates → churns before day 90 → nobody noticed.



KEY NOTE CX improvement creates a retention flywheel: better onboarding → higher adoption → fewer tickets → better NPS → lower voluntary churn → more referrals. Key Note: 5 NPS points = 0.5–1pp reduction in voluntary churn. Each stage amplifies the next.

BUSINESS OUTCOME NPS improvement reduces voluntary churn + increases referral rate (organic acquisition). Ticket deflection (Fin ≥55%) reduces support cost and improves CSAT simultaneously. CX is not a cost centre — it is a compounding GRR mechanism with no additional headcount requirement.

Trade-offs & Big Bets
What we deliberately gave up — and where we're placing the chips, with reasoning

SINGLE BIGGEST
TRADE-OFF

ARR-first concentration — humans go where the dollars are; the 16,000-account tail (T3, \$1.1k ACV) is handed to automation, not a CSM. 7% of accounts hold 52% of ARR, and a named human only pays back above \$12k ACV. The bet: bots give the tail *SOME* proactive touch at near-zero marginal cost instead of zero. If automation under-delivers on the tail, this is the assumption that costs us most — and the one we watch hardest.

HOW WE ENSURE AUTOMATION DELIVERS BEFORE BETTING ON IT AT SCALE

STAGE 1 BACK TEST
Weeks 1–4 · no live customer action
AI churn signals + automation logic run against 6 months of historical data. Zero customer exposure.

- Gate to advance:
- Churn-prediction precision $\geq 65\%$
 - Payment-recovery accuracy $\geq 70\%$
 - Fin response relevance $\geq 80\%$

STAGE 2 PILOT

Months 2–3 · supervised cohort of 2,000 T3 accounts
 1 Digital Specialist reviews every Fin response & playbook trigger. Human override available at every step.

- Gate to advance:
- Digital CSAT ≥ 4.0
 - Deflection rate $\geq 50\%$
 - Auto-resolution $\geq 40\%$
 - Save rate $\geq$ baseline

STAGE 3 ROLL OUT

Month 4+ · full 20,000-account deployment
 All gates cleared. Automation scales to full tail. Humans shift to edge cases & high-risk escalations.

- Ongoing guardrails:
- Monthly model precision audit
 - Quarterly threshold review
 - CSAT drop → auto-route to human

TRADE-OFFS WE MADE ON PURPOSE

DECISION	WE CHOSE	WE TRADED AWAY	WHY IT'S THE RIGHT CALL
🎯 Coverage	ARR-first concentration	Human touch on the 16,000-account tail	The single biggest trade-off. Revenue is concentrated — 7% of accounts = 52% of ARR. Bots cover the tail at zero marginal cost; humans go where the dollars are. This choice defines the entire model.
Team size	Lean 43 FTE	Slack capacity / white-glove on SMB	People cost 1.51% of ARR vs 8–10% benchmark. A lean team forces tooling discipline — automation becomes mandatory, not optional.
Activation tool	Userpilot (Year 1)	Pendo's deeper product analytics	1–7 day deploy vs 8–12 weeks, \$33k cheaper, zero activation gap at launch. Re-evaluate Pendo in Year 2 once PostHog analytics mature.
ROI stance	Count expansion / NRR as \$0	A rosier headline ROI number	A conservative, defensible base case survives scrutiny. Expansion is real upside we'll capture — but we don't promise it to justify the investment.

THE BIG BETS — AND WHAT MAKES THEM PAY

THE BET	REASONING	WHAT MAKES IT PAY OFF	WHAT WE'RE WATCHING
Pre-90 onboarding is the #1 churn lever	43% of SMB churn lands before Day 90 — activation failure, before first value.	Activation 55% → 80% recovers \$0.87M+ (base) on the SMB tail and lifts every downstream cohort.	Activation → retention correlation; pre-90 churn rate
AI can carry the SMB tail	20,000 small accounts can't be staffed with humans economically.	Fin + Userpilot + HubSpot run the full detect → resolve → educate loop. +3–5pp tail GRR for \$45k of tooling (Fin + Userpilot; HubSpot workflows native).	Deflection rate, digital activation, CSAT
Signal-based proactive beats reactive	Product behavior predicts churn 90–120 days out — long before a renewal call.	CSMs act on signal, not the calendar → higher save rate and expansion capture (NRR).	Signal precision, % of churn caught early
Lean + tooling beats big headcount	Automation leverages 43 FTE across 25,000 accounts.	Best-in-class GRR at a 1.51% people-cost ratio — a structural margin advantage in a low-margin category.	Book sizes, CSM burnout, attrition

WHAT WE ARE SOLVING: PEOPLE, PROCESS & AI

 People

Relationship depth, judgment, expansion capture. CSM owns strategic outcomes.

MM GRR +4pp

Process

Consistency, playbooks, reproducible decisions. Process scales what works.

T1 GRR +5pp

AI

Early detection, autonomous playbooks, scale without headcount.

T2+T3 GRR +5pp

KEY NOTE Deliberate trade-offs under resource constraints are better than optimising everything sub-optimally. Prioritisation logic: ARR concentration → human CSM time → tooling → automation depth. People, Process, and AI solve different problems at different ACVs — together they achieve blended GRR 76%.

BUSINESS OUTCOME Conservative choices reduce execution risk while achieving base-case GRR. The ROI calculation doesn't require the upside to be positive — it's asymmetric: limited downside risk (tooling is reusable), meaningful upside (expansion, tail GRR). Trade-offs enable focus; focus enables GRR improvement.

Miscellaneous

Supporting detail behind the operating model — risk, the people · process
· AI lever, sample MM & SMB workflows, account movement and floor-level mechanics

IN THIS SECTION — 9 SLIDES

- 01 Risk Mitigation Plan
- 05 Account Movement — Scenarios & Guardrails
- 02 People, Process & AI
- 06 Productivity Tracking
- 03 CS Risk Interface — 3 Silent ARR Leaks
- 07 Gamification & Performance Floor
- 04 Sample Workflow for MM and SMB
- 08 Appendix

Risk Mitigation Plan

The six risks that could break this model — and how we prevent or contain each

RISK	SEVERITY	HOW WE PREVENT / MITIGATE	EARLY-WARNING SIGNAL
AI model accuracy is low Health/churn scores misfire	High · early	Back test → pilot → roll out (criteria-gated). Weeks 1–4 (back test): AI signals run against 6 months of historical data — gate requires churn-prediction precision ≥65% and payment-recovery accuracy ≥70% before any live action. Months 2–3 (pilot): supervised 2,000-account T3 cohort; 1 Digital Specialist reviews every trigger; human override throughout. End-Month-3 go/no-go gate: CSAT ≥4.0, deflection ≥50%, auto-resolution ≥40%, save rate ≥ baseline. Gate fail = extend pilot or fall back to CRM-rules-based scoring (no automation block to go-live). Gate pass only → full 20,000-account roll out (Month 4). Never auto-fire an irreversible action on a low-confidence score.	Model precision / recall (weekly); false-positive rate on at-risk flags
PLG / in-app motion underperforms Nudges ignored, adoption flat	Med–High	Test, multi-channel, and gate. A/B test every Userpilot flow and kill losers. Never depend on one channel — in-app + HubSpot email + Fin proactive run in parallel. A Day-30 activation gate escalates any account <70% activated to a human. Set a realistic ramp (activation 55% → 80% over two quarters, not overnight).	Flow-completion %, activation-rate trend, nudge → action conversion
Pre-90 onboarding doesn't move retention The core thesis fails	High	Instrument it so nothing slips. Automated Day-30 activation gate → "At-Risk Pre-90" cohort; every account gets a human or digital owner. D7 / D14 / D30 milestones tracked per account. Weekly pre-90 cohort review on the floor. Monthly activation → retention correlation check — if the link weakens, re-cut the playbook fast.	Activation rate, % hitting D14 milestone, pre-90 churn rate
CSM / specialist attrition Hot India CS market, poaching	Med–High	De-risk the people, not just hire. Pooled model + cross-training removes key-person risk. Playbooks keep knowledge in the system, not in heads — a departing CSM's book is recoverable in days. Career ladder (CSM → Sr → Lead), comp benchmarked annually, retention-linked variable. Stagger hiring so the team doesn't all ramp at once. Target regrettable attrition <12% .	Regrettable attrition %, eNPS, time-to-backfill
Tooling deployment delay only PostHog needs eng	Med	Lean stack lowers this risk. PostHog deploys in 1–2 weeks with a named engineering owner + weekly check-in — it is the only engineering dependency. Fallback: CRM-only health scores work from Day 1 — degraded, not blind. Userpilot (1–7 day deploy) removes the Pendo activation-gap risk entirely; the other 4 tools are already owned. No single tool blocks go-live.	Implementation milestone tracker, data-pipeline uptime
Over-automation degrades CX Customers feel handled by bots	Med	Automation with a human seam. Clear escalation: Fin → support → digital specialist, each with full context. Humans available at high-value moments (renewal, expansion, churn signal). CSAT tracked on every digital interaction — if it drops below 4.2 , route more volume to humans. Gen-AI message tone reviewed before launch and sampled monthly.	Digital-interaction CSAT, escalation rate, complaint volume

The through-line: every risk is met with a **leading indicator** and a **fallback that keeps the business running** if the bet underperforms. Nothing in this model is "all-or-nothing" — the machine degrades gracefully (rules before ML, human gate behind every automation, CRM data before product data) so a single failure never stops the floor.

KEY NOTE The 6 risks are ranked by likelihood × impact for a 12-month implementation window. Mitigation strategies assume standard SaaS tool adoption curves. No catastrophic failure is treated as acceptable without a stated contingency — the risk table IS the contingency plan.

BUSINESS OUTCOME Risk mitigation is itself a GRR protection mechanism. Each unmitigated risk has a specific GRR scenario: AI accuracy failure = churn signal blind spot; pre-90 thesis failure = core assumption invalidated. Both have fallback plans with explicit trigger conditions and timeline.

What Are We Solving Through People, Process & AI

Three levers working in concert — each solves a different part of the churn problem

PEOPLE

What problem it solves:

Relationship depth & strategic outcome. High-ACV accounts need judgment, context-setting, and relationship trust that only a human can provide. CSMs identify expansion opportunities, navigate stakeholder dynamics, and convert at-risk situations through dialogue.

43 FTE structure:

30 MM CSMs (dedicated) · 6 T1 CSMs (pooled) · 5 enablers (onboarding, data, kb, digital) · 2 management

PROCESS

What problem it solves:

Consistency, reproducibility & scale. Playbooks, signal-detection rules, and intervention workflows ensure every account gets the same quality decision-making regardless of CSM tenure or personality. Process locks in what works.

Core processes:

5-level churn playbooks · pre-90 onboarding · QBR framework · signal-based intervention triggers · risk interface rules

AI

What problem it solves:

Speed, detection & scale without headcount. Predictive models catch churn signals 90+ days early. Agentic automation runs T2+T3 playbooks at zero marginal cost. AI handles what's routine; humans handle what requires judgment.

\$87k lean tooling stack:

HubSpot · PostHog · Userpilot · Churnkey · Intercom Fin · Delighted

HOW THEY WORK TOGETHER

Mid-Market (MM)

People lead. Dedicated CSM is the decision-maker. AI + Process provide pre-reads and playbook guardrails. CSM owns conversation, outcome, and expansion capture.

SMB Tier 1 (T1)

Process lead. Pooled CSM handles high-touch interventions. AI detects + Process runs first-line playbooks. CSM steps in only for saves that need negotiation.

SMB T2+T3 (Digital)

AI lead. Digital specialist monitors & runs playbooks autonomously. Process is codified in workflows. CSM only involved if AI flags P1 escalation.

PEOPLE Impact

MM GRR: 75% → 79% (+4pp)

Relationship depth drives expansion & retention at highest-ACV segment.

PROCESS Impact

T1 GRR: 65% → 70% (+5pp)

Consistent playbooks eliminate variance; predictable outcomes.

AI Impact

T2+T3 GRR: 62% → 67% (+5pp)

Early detection + agentic playbooks scale to 20k accounts.

KEY NOTE People, Process, and AI are not interchangeable. Each solves a different problem at a different price point. The model only works when all three are deployed together in segment-appropriate combinations. Skipping any one breaks the economics.

BUSINESS OUTCOME Blended GRR 70% → 76% (+6–7pp = \$3.9–6.6M ARR protected). People drives MM outcomes. Process enables scale. AI unlocks the tail. Combined, they achieve best-in-class retention at 1.51% people-cost ratio — a structural margin advantage vs 8–10% industry benchmark.

CS Risk Interface — 3 Silent ARR Leaks & How to Fix Them

AE rules of engagement · Dormant account revival · Qualifying business-led churn · All three leak ARR silently without governance

AE RULES OF ENGAGEMENT

THE PROBLEMS

- Invalid upgrades** in last 5 business days of month — inflates ARR artificially at close
- Annual → Monthly**: discount removed = short-term ARR spike, then month-2 contraction
- Trial seat upgrades** — seats added this month, downgraded next; NRR looks inflated
- Plan stacking** — upgrade without cancelling existing plan; billing anomaly + ARR overcount
- Risk signal latency** — AE senses risk but doesn't surface to CS; CS arrives too late

RULES — CS + AE + REVOPS

- R1** No net-new ARR upgrades in the last **5 business days** of month without CS Head approval
- R2** Annual → Monthly = CS approval gate + HubSpot risk task auto-created; 60-day watch window
- R3** Trial seat upgrades tagged separately; NRR not credited until D45 retention confirmed by CS
- R4** RevOps gate: active-plan check before new plan processes — stacking blocked at system level
- R5** AE logs risk signal in CRM / HubSpot within **24h** of sensing risk. Miss = escalation to CS + RevOps

DORMANT ACCOUNT REVIVAL

THE PROBLEM

SMB monthly accounts set up the product and **go silent**. No usage = no value = no renewal. Churn arrives without warning because there was no signal to catch. Estimated **XX% of SMB monthly churn is dormant-account churn** — quantify this in Week 1 from PostHog data.

DEFINITION OF DORMANT

- 0 calls placed in the last **21 days**, **OR**
- Configured seats with MAU < **10%** of bought seats for 14+ consecutive days

REVIVAL PLAYBOOK (agentic · T2-T3)

- D14** PostHog detects → HubSpot flags dormant → HubSpot reactivation email auto-fires
- D21** Userpilot in-app re-onboarding flow + Intercom Fin: "need help getting started again?" prompt
- D28** **T1**: CSM personal call. **T2/T3**: AI win-back offer + cancellation deflection flow

Goal: catch dormant accounts at D14 — not at D60 when the cancel request arrives.

BUSINESS-LED CHURN — QUALIFY IT

THE PROBLEM

SMB customers cite "business reason" to exit without friction. But **many are misclassified** — real reasons include poor adoption, pricing, or a competitor. If the right reason isn't captured, systemic issues never get fixed. The CSM / Agent **must probe, not accept at face value**.

5-CODE EXIT TAXONOMY (mandatory capture)

- B1** True business closure or shutdown
- B2** Funding loss / budget cut
- B3** Moved to competitor — name must be captured
- B4** Price sensitivity / ROI not demonstrated
- B5** Seasonal pause / hiring freeze / team restructure

CAPTURE RULES

- R1** "Business reason" alone = **audit flag**. Secondary dropdown + verbatim note mandatory to close the record
- R2** MM/T1 CSM: exit interview within **24h**. T2/T3: Intercom Fin captures structured reason before routing
- R3** Quarterly reclassification audit: % of B1 that was actually B3/B4 → drives product & pricing fix

AE ROE → clean ARR · **Dormant revival → pre-cancel rescue** · **True churn reason → systemic fix** All three are CSM-owned actions that protect GRR before it's too late to act.

KEY NOTE CS acts as the relationship owner but not the commercial risk decision-maker. Financial risks (CC failures, collections, pricing disputes) handled by RevOps/Finance — not CSMs — to protect relationship quality. CS passes signals; CS does not carry resolution burden.

BUSINESS OUTCOME Clean handoffs prevent CSM scope creep and protect GRR. CS Risk Interface ensures churn-risk signals reach the right owner within 24h SLA. Speed of handoff is a GRR and NRR protection mechanism — delayed risk signals = lost accounts. Every 24h matters in a monthly billing model.

Mid-Market — AI-Assisted, Human-Led Retention

Adoption score dip → root cause → fix → recovery → expansion · JustCall Growth tier · How AI and CSM operate together

ACCOUNT

TechScale Ventures
22-seat B2B outbound sales team

TIER

Growth (MM)
Dedicated CSM · 85-account book

MRR

\$950 / mo
\$11,400 ARR · Month 3

STACK

JustCall + HubSpot CRM
Power Dialer · AI call scoring · 22 seats

TRIGGER

Adoption score: 82 → 54
HubSpot sync silent failure · 9 days

AI detects · Human resolves · AI monitors

✓ **ONBOARDING**
Complete · Day 1–30

✓ **ACTIVATION**
Score 82 · Day 45

⚠ **ADOPTION DIP**
Score 82 → 54 · Month 3

→ **RECOVERY**
Score 79 · +14 days

→ **EXPANSION**
22 → 28 seats · Month 5

RENEWAL
Month 12 · NRR 145%

82

Month 2
baseline

54

9-day dip
silent failure

79

Day 14
post-fix

84

Month 5
expansion

ROOT CAUSE IDENTIFIED BY AI BEFORE CSM LOOKED

HubSpot API v3 deprecated → OAuth tokens expired → call logs stopped syncing to CRM. 22 reps manually copying notes for 9 days. Trust eroding silently. Customer was discussing alternatives.

PHASE

AI / SYSTEM — AUTONOMOUS ACTIONS

CSM / HUMAN — SIGNAL-TRIGGERED ACTIONS

1
DETECT

PREDICTIVE AI — FULLY AUTOMATED, NO HUMAN TRIGGERED THIS

PostHog logs drop over 9 days: HubSpot sync events → 0.
Calls/day: 45 → 19 (–58%). Login sessions: –40% across 22 seats.

HubSpot re-scores: adoption 82 → 54. Primary driver: integration health = RED (weight 0.45). Churn risk elevated to HIGH. Automated playbook fires. CSM task auto-created: *"TechScale — Priority HIGH. Act within 24 hrs."*

PostHog HubSpot health score

CSM — RECEIVES SIGNAL, DOES NOT HUNT

CSM opens morning task queue. TechScale is top priority. **No manual monitoring. No spreadsheet. The signal came to them.**

Time from anomaly to CSM awareness: **under 2 hours** (overnight batch).

2
DIAGNOSE

GEN AI — ROOT CAUSE BRIEF AUTO-GENERATED IN 90 SECONDS

HubSpot AI generates diagnostic brief:

"Score driver: HubSpot sync = 0 since Day 9 (weight 0.45 — primary). Login –40%. Call vol –58%. Zero support tickets filed — customer has not identified the issue. Pattern: integration failure, NOT disengagement. Risk: HIGH. Proactive outreach within 24 hrs."

Cross-references product changelog: HubSpot API v3 deprecated 10 days ago — known to invalidate OAuth tokens on older integrations.

HubSpot AI brief Product changelog feed

CSM — VALIDATES, ADDS INSTITUTIONAL CONTEXT

Reads brief (90 sec). Hypothesis: HubSpot integration broken, not intent to leave.

Validates on product team Slack — **confirms HubSpot API v3 break affects 12% of accounts. Fix: re-authenticate OAuth. Takes 5 minutes on a live call.**

Full picture before picking up the phone. **AI diagnosed. Human confirmed.**

3
REACH OUT

GEN AI — DRAFTS OUTREACH, CSM EDITS AND SENDS

HubSpot AI drafts email:

"Hi Sarah, our system flagged a drop in TechScale's activity. We're checking in proactively — have you noticed any issues with your HubSpot sync? We may have identified the cause."

HubSpot AI draft

CSM — PERSONALISES, SENDS, HANDLES REAL RESPONSE

CSM edits draft: adds *"We believe it's related to HubSpot's API v3 change on [date]. We can fix in 5 minutes on a call."* Sends with calendar link.

Sarah (VP Sales) replies in 90 minutes:

"Yes!! Our reps have been manually copying call notes for over a week. The team is extremely frustrated — we were literally discussing alternatives last night."

Account was 1 night away from a cancel discussion.

4
FIX

GEN AI — SUPPORTS FIX LIVE, CONFIRMS RESTORATION

CSM triggers **Userpilot in-app banner** to all 22 seats during call: *"HubSpot sync fully restored ✓ — your call logs are back. No manual entry needed."*

HubSpot detects sync events resume → auto-logs restoration. CSM sees live confirmation on screen during the call.

HubSpot: "Sync restored" email to all 22 users within 1 hour of re-auth.

Userpilot HubSpot confirm HubSpot

CSM — LEADS THE CALL, OWNS THE RELATIONSHIP MOMENT

30-min call with Sarah. Explains root cause (HubSpot's API change, not JustCall). Walks through re-auth live: Settings → Integrations → HubSpot → Reconnect → OAuth. **Fixed in 5 minutes.**

Offers 2-week credit as goodwill.

"I really appreciate you catching this before I had to file a complaint. The team had no idea the integration was broken."

		Positions proactive monitoring: "We saw this before your team did — that's the model."
5 RECOVER	PREDICTIVE AI — MONITORS RECOVERY, ALERTS ON MILESTONE PostHog: Day 3 → 38 calls/day. Day 7 → 44. Day 14 → 47 (above pre-incident baseline). HubSpot score: 54 → 67 → 79. Auto-alert to CSM: "TechScale recovering — score 79. Integration green. Calls/day +4% above pre-incident." Delighted NPS pulse at recovery milestone: 9/10 from Sarah. PostHog → HubSpot Delighted NPS	CSM — CLOSES LOOP, CONVERTS INCIDENT INTO TRUST CAPITAL Day 14 follow-up call. Presents recovery data from HubSpot brief: "You went from 19 calls/day at the dip to 47 today — 4% above where you were before." Converts incident into proof of value: "We caught this on day 2. You were 9 days in and hadn't noticed yet." "Our CEO said — this is what a real vendor relationship looks like."
6 EXPAND	PREDICTIVE AI — FLAGS EXPANSION, SURFACES NPS PROOF HubSpot (Month 5): 4 new users, API calls +60%, Power Dialer ×3. Expansion signal auto-flagged. CSM task: "TechScale — upsell ready. Recommend: 6 seats + SMS campaigns." Delighted quarterly NPS 9/10: "JustCall caught an issue before we knew about it. That's why we stay." HubSpot expansion signal Delighted	CSM — CONVERTS SIGNAL INTO CONTRACTED REVENUE HubSpot brief: 847 calls, connect rate +34%, 2,100 HubSpot contacts enriched. CSM presents SMS campaigns for lead follow-up. Close: 22 → 28 seats. SMS campaigns live. MRR \$950 → \$1,380. The account discussing alternatives at Month 3 is now the team's highest NPS account at Month 5.

9 days Issue undetected before AI flagged it	<24 hrs Anomaly → CSM outreach	82 → 84 Score · above pre-dip baseline	145% NRR · \$950 → \$1,380 MRR	9/10 NPS · "caught it before we did"
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KEY NOTEMM accounts (\$50k+ ACV, 500 accounts) justify full CSM investment with AI augmentation — not replacement. At this ACV, relationship quality is a retention moat. AI handles signal detection, pre-reads, and prep work; the human owns the conversation, the QBR, and the outcome.

BUSINESS OUTCOMEMM GRR target 75 → 79% (+4pp). MM NRR 100 → 108% via expansion capture in QBRs. MM accounts = 52% of ARR — each 1pp MM GRR improvement = \$520k ARR retained at \$52M MM base. MM is the highest-leverage segment for human CSM investment.

Digital Scale in Practice — Autonomous Loop Scenario
Tech-touch bottom funnel · Zero CSM involvement · JustCall customer · End-to-end agentic motion

ACCOUNT QuickConnect Realty 3-person real estate agency	TIER SMB Tier 3 (Digital) Pooled · no dedicated CSM	MRR \$120 / mo \$1,440 ARR	USE CASE Outbound calls to property leads 2 agents · local number · no CRM
ISSUE Caller ID not verified → zero calls Usage cliff on Day 31			
0 Human Touches · Fully Autonomous			

THE AGENTIC LOOP — HOW THE SYSTEM RUNS THE FULL LIFECYCLE

PREDICTIVE AI Detect Anomaly Usage cliff — 30 calls/day → 0. Pattern matches pre-churn signature. PostHog → HubSpot	GEN AI Reach Out Personalised email: common causes of this pattern with a fix link. HubSpot	AGENTIC AI Diagnose & Resolve Customer describes error. Fin finds KB match, provides step-by-step fix. Intercom Fin	PREDICTIVE AI Confirm Recovery Calls resume. Health score recovers. At-risk flag auto-closed. PostHog → HubSpot	GEN AI Educate & Expand Follow-up email + in-app Power Dialer guide. Usage grows 40% above pre-incident. HubSpot + Userpilot
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STEP-BY-STEP · WHAT THE CUSTOMER EXPERIENCES
Predictive AI Gen AI Agentic AI No CSM involved at any stage

DAY	ACTOR	WHAT HAPPENS	TOOL
Days 1–30	Predictive AI	Normal operation. Agents making 30 calls/day to property leads. PostHog logs all events. Health score stable at 74. Userpilot fires onboarding checklist on Day 1 — both agents complete it without contacting support.	PostHog · Userpilot
Day 31	Predictive AI	Zero calls for 2 days. PostHog detects usage cliff. HubSpot health score: 74 → 38. Pattern recognised: "sudden zero usage" — precedes churn in 71% of accounts this size within 30 days. Automated playbook fires. No human notified yet.	PostHog → HubSpot

DAY	ACTOR	WHAT HAPPENS	TOOL
Day 32	Gen AI	HubSpot sends personalised email to account admin (Sarah): <i>"Hi Sarah, we noticed your team hasn't made calls in 2 days. Common causes: Caller ID not verified · Credit balance low · Browser microphone permission blocked. Check your dashboard — takes 2 minutes to fix."</i> Content generated from account's usage profile, not a generic blast.	HubSpot
Day 34	Agentic AI	Sarah doesn't respond to email but logs into JustCall dashboard. Intercom Fin fires a proactive in-product message: <i>"Hi Sarah — we noticed your team's call volume dropped. Is everything working okay?"</i> Sarah types: <i>"Yes, we're getting a 'number not verified' error whenever we try to call."</i>	Intercom Fin (L1)
Day 34	Agentic AI	Fin diagnoses autonomously: KB match found → "number not verified" = outbound Caller ID not verified. Fin provides step-by-step resolution: Fin's response: <i>"This is an easy fix! Go to Settings → Phone Numbers → find your number → click 'Verify Caller ID' → enter the 6-digit code sent to that number. Takes about 2 minutes. Let me know once you're done and I'll confirm everything looks right."</i> Sarah follows the steps. Caller ID verified. No ticket raised. No support agent involved.	Intercom Fin (L1)
Day 34 +20 min	Predictive AI	PostHog: 8 calls made. Usage resumes. Fin detects recovery via HubSpot webhook → auto-closes conversation: <i>"Great — you're back in action! Your team just made 8 calls. Anything else I can help with?"</i> Health score recovers to 71. At-risk playbook auto-closed.	PostHog → HubSpot → Fin
Day 35	Gen AI	HubSpot sends automated follow-up (triggered by usage recovery event): <i>"Great news Sarah — your team made 8 calls yesterday and you're back on track! Pro tip: switch to Power Dialer and your agents can work through 3× more leads in the same time. Here's a 2-minute setup guide."</i>	HubSpot
Day 36	Gen AI	Userpilot detects manual dialling still in use → fires in-app contextual tip: <i>"You're calling one by one. Power Dialer auto-dials your lead list and skips unanswered calls — your agents spend more time talking, less time dialling."</i> Sarah clicks "Set up Power Dialer" — activates in 4 minutes.	Userpilot
Day 40	Predictive AI	42 calls/day — 40% above pre-incident baseline. Power Dialer active. Health score: 81. HubSpot flags positive signal. Account retained. Engagement higher than before the incident. Zero human touches across the entire sequence.	PostHog → HubSpot

0 human touches · **Full loop: Detect → Reach out → Diagnose → Resolve → Educate → Expand** · 3 digital specialists never involved · L2+ issues would escalate to support automatically

0	3 days	+40%	\$0	Retained
Human touches	Detection to resolution	Usage above pre-incident	CS cost to retain this account	Account · Power Dialer activated

KEY NOTESMB accounts (\$1–2k ACV) cannot support a >\$15k/yr human CSM economically. AI-first digital motion achieves 80% of human retention value at <5% of the cost. Human escalation is reserved for signal failure (3 automated touches fail) or high-risk manual review.

BUSINESS OUTCOMESMB tail GRR +3–5pp via digital motion = \$1.5–2.5M ARR retained from the 20k-account tail. Digital motion scales without linear headcount growth. Critical given SMB = 64% of account count and the segment with the highest improvement runway.

Account Movement — Scenarios & Guardrails
How accounts re-tier as ARR grows or contracts · and how we prevent thrashing

SCENARIO 1 Growth: SMB → Mid Market → Trailing 3-month average crosses \$12k + 15% buffer (\$13.8k), held 2 months → CSM assigned within 2 weeks of confirmation → Warm handoff from digital → named CSM with full account notes → Treated as buying signal — CSM scoped for expansion with AE immediately	SCENARIO 2 Contraction: MM → SMB → Trailing average below \$12k (must breach \$10.2k, i.e. –15% buffer) → 2-quarter (6-month) hold before demotion — this is a save window, not a waiting period → CSM actively works to recover seats during the hold
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→ Warm handoff to pooled SMB only after hold expires and account hasn't recovered

SCENARIO 3 Signal-Based Pre-Promotion

- Below \$12k but 3+ months of consecutive seat adds, new team activating, or inbound to AE
- CSM assigned proactively before threshold crossed — this is the NRR engine
- When account crosses \$12k: CSM already owns the relationship, no disruption
- Pre-promotion tracked via HubSpot usage velocity score

SCENARIO 4 Payment Failure Path

- Day 1: Stripe Smart Retries automated (3 attempts)
- Day 3: Churnkey retry logic + save-offer email
- Day 7: Human call for accounts >\$500 MRR (CSM or CS Ops)
- Day 14: "Delinquent at-risk" flag in HubSpot. Day 30: treated as churned. Target recovery: 33%

THE 5 NON-NEGOTIABLE GUARDRAILS

- 1 Trailing 3-month average only.** No spot-rate re-tiering. A one-month spike or dip changes nothing.
- 2 ±15% hysteresis band.** Must clear threshold by 15% before review triggers. Prevents boundary thrashing.
- 3 Promote in 2 weeks. Demote in 2 quarters.** Growth is a buying signal. Contraction is a save opportunity.
- 4 No cold handoffs.** Warm intro + 30-day overlap. Outgoing owner holds until new owner confirms in HubSpot.
- 5 Account is always owned.** Every account has a tier, motion, and coverage owner — even if that owner is an automated sequence.

KEY NOTE Tier movement is governed by ARR × health score — not ARR growth alone. An account that grows ARR but has declining health should not auto-promote; they need a retention play first. This prevents over-investing in high-ARR accounts with high churn probability.

BUSINESS OUTCOME Movement rules protect GRR (don't lose a newly-promoted MM account) while enabling NRR (promote healthy accounts to higher-touch tiers where expansion conversations happen). Account movement is both a retention AND a growth mechanism — the two reinforce each other.

Productivity Tracking — Activity In, Business Outcome Out

Human CSM and AI Agent measured daily · weekly · monthly · target vs actual · gap = intervention trigger

CORE PRINCIPLE How much **effort you put in** directly correlates to the **business outcome** you achieve. The gap between target and actual tells us exactly where to intervene — before the account churns.

HUMAN CSM — MM + SMB T1 · Daily · Weekly · Monthly

INPUT — ACTIVITY EFFORT

ACTIVITY	CADENCE	MM TARGET	T1 TARGET	GAP
Customer calls	Daily	6 / day	10 / day	—
Emails / outreach	Daily	10 / day	15 / day	—
Adoption sessions	Weekly	3 / wk	5 / wk	—
QBRs completed	Monthly	3 / mo	2 / mo	—
MBRs / check-ins	Monthly	5 / mo	8 / mo	—

OUTPUT — BUSINESS OUTCOMES

BOOK COVERAGE — Retention POV

- **SAFE** ≥ 70% of book
- **UNSAFE** ≤ 10% of book
- **UNKNOWN** ≤ 20% of book

TIER MOVEMENT (quarterly NTP)

Adopt **+20%↑** · Perf **+15%↑**
MAU **+30%↑** · Floor **<5%↓**

INTEGRATION COHORT (per account)

- RED · < 2 integrations** → push
- AMBER · 2–4** → deepen
- GREEN · > 4** → NRR expand

AI AGENT — SMB T2 + T3 · Automated · Scaled to 20,000 accounts

INPUT — NUDGE & PLAYBOOK EFFORT

ACTIVITY	CADENCE	TARGET	GAP
Nudges fired (playbook)	Daily	100% coverage	—
Nudges interacted	Weekly	≥ 40% rate	—
Playbook job-done	Weekly	≥ 70% completed	—
Emails (HubSpot)	Weekly	≥ 35% open rate	—
Fin sessions resolved	Weekly	≥ 70% L1 resolve	—
In-app flows completed	Weekly	≥ 25% completion	—
OUTPUT — BUSINESS OUTCOMES			
JOB-DONE RATE PER PLAYBOOK			
Onboarding			≥ 80%
Pre-90 activation			≥ 75%
Renewal nudge			≥ 70%
Adoption milestone			≥ 60%
TIER MOVEMENT DRIVEN			
Adoption ↑			+12% / qtr
Performance ↑			+8% / qtr
MAU ↑			+18% / qtr
↓ Down floor			< 5%

PROGRAM-LEVEL PERFORMANCE REVIEW — TARGET VS ACTUAL (ALL PROGRAMS: MBR WEEKLY · QBR QUARTERLY)

PROGRAM	INPUT TRACKED (EFFORT)	OUTPUT / KPI (OUTCOME)	SEGMENT	CADENCE
3 Parallel	Adoption sessions · nudges fired · in-app flows triggered	% L → M → H movement per pillar · NTP score vs target	All	Weekly
Onboarding	Sessions done · milestone connectivity % · D1/D15/D30 check-ins	Successful done vs WIP · milestones met / not met per cohort	All	Weekly
Pre-90 Churn	Activation nudges sent · Fin resolves · day-15/30/60 check-ins done	% activated by D90 (55% → 80%) · churn rate D0–90 vs baseline	SMB	Weekly
Renewal & Signal	Renewal signals tracked · QBRs pre-expiry · confirmations sent	% renewals confirmed 30d pre-expiry · saves vs churn escalations	MM · T1	Monthly
Advocacy	G2 review requests sent · success story nominations submitted	G2 reviews live · success stories published · target vs actual	MM · T1	Monthly

CSM EXAMPLE — Priya Sharma · MM Strategic · 28 accounts · \$3.6M ARR · April 2025						Activity goals hit → book stays SAFE
INPUT vs TARGET:	Calls 6/d → 7 ✓	Emails 10/d → 11 ✓	Adoption 3/wk → 3.5 ✓	QBRs 3/mo → 3 ✓	MBRs 5/mo → 4 ⬆	
Book coverage → SAFE 75% · UNSAFE 8% · UNKNOWN 17% Churn impact → 1 lost (\$28k) · 3 at-risk saved (\$95k) · book retained 99.2% MoM						

KEY NOTECSM activity volume (calls, QBRs, health reviews vs target) is a leading indicator of book health. Tracking target vs actual weekly surfaces underperforming books before GRR reflects it — a 4–6 week early warning window for management intervention before accounts churn.

BUSINESS OUTCOMEProductivity floors prevent the Pareto effect (20% of CSMs carrying 80% of retention). Consistent floor → predictable GRR floor → reduced GRR variance QoQ. Makes the model forecastable to the CFO and board — GRR variance narrows as CSM activity consistency improves.

Gamification — Driving Productivity on the Floor
Weighted scorecard at CSM · Team · Function level · Slack leaderboards · milestone rewards · coach the curve

WHY GAMIFY Transparency + recognition + healthy competition keeps the floor's **mojo up** and turns effort into retention. We **reward the top, coach the middle, and unblock the bottom** — nobody is left guessing where they stand.

THE CSM SCORECARD — WEIGHTED PERFORMANCE INDEX (CPI), PUBLISHED WEEKLY

CATEGORY	WEIGHT	WHAT'S MEASURED	EXAMPLE (MONTHLY)
Proactive Churn Save	30%	Accounts saved before the customer asks to cancel — caught on signal	4 saves · \$42k ARR retained
Program / Connectivity	25%	Adoption coverage + goal met: sessions delivered × % positive Δ in adoption stat	12 sessions · +18% adoption
Winback	20%	Churned / dormant accounts reactivated back into active paying use	2 winbacks · \$15k recovered
Integrations Driven	15%	Net-new integrations in portfolio (per account: <2 red · 2–4 amber · >4 green)	9 integrations across 5 accts
G2 Reviews / Advocacy	10%	G2 reviews + success stories generated from happy accounts	3 G2 reviews · 1 case study
= CPI Composite	100%	Weighted sum → single ranked index → drives reward, coaching, and the Slack leaderboards below	

COACH THE CURVE — 30 CSMs	
🏆 TOP 5 — Reward	

Spot bonus + President's Club + public shout-out. The benchmark everyone aims for.

🔧 **MIDDLE — Coach**
Targeted productivity coaching, best-practice pairing, shadow a top performer.

👉 **BOTTOM — Unblock**
1:1 to surface real blockers — territory, tooling, ramp. Remove friction, don't penalize.

LEADERBOARD & MILESTONE REWARDS

#cs-wins Slack — weekly auto-post (per cohort)

🏆 **Integrations:** Priya #1 this week — 7 new

💚 **Churn Saves:** Rahul leads — 5 saves, \$42k

★ **G2:** Aisha — 3 reviews this week

Transparent, peer-driven momentum — keeps the floor's energy up.

⚡ **Milestone bonus**
Hit your integration goal **by the 15th** → additional reward. Front-loads effort, kills the month-end scramble.

TRACKED AT 3 LEVELS

CSM
Individual CPI scorecard, published weekly — every CSM knows their rank.

TEAM
MM vs SMB aggregate CPI · team-vs-team leaderboard · manager coaching focus.

FUNCTION
Does productivity correlate to retention? CPI rolled against **GRR / NRR** — closes the loop.

CSM EXAMPLE — Priya Sharma · MM Strategic · 28 accounts · \$3.6M ARR · April 2025

CPI 84 / 100 · Rank #3 of 30 → 🏆 TOP 5 · Rewarded

SCORECARD vs TARGET: **Churn Save** (30%) 3 → **4** ✓ **Program** (25%) **+18% adopt** ✓ **Winback** (20%) 2 → **2** ✓ **Integrations** (15%) **9** · green

G2 (10%) 3 → **3** ✓

Book coverage → **SAFE 75%** · **UNSAFE 8%** · **UNKNOWN 17%**

Churn impact → top-quartile CPI = **\$95k at-risk ARR saved** this month · lowest churn in MM team

KEY NOTEShort feedback loops (daily leaderboards, challenges, performance floors) maintain CSM engagement in a metric-heavy environment. Key Note: India CS market has strong team-culture motivation — public recognition and peer competition are genuine retention levers for the team, not gimmicks.

BUSINESS OUTCOMEEngagement → lower attrition → institutional knowledge retention → lower ramp cost. Performance floor prevents free-riding on pooled GRR metrics.
Gamification protects GRR by protecting the human capital that delivers it — attrition is a GRR risk, not just an HR problem.

Appendix

Model assumptions underlying all calculations and projections

All financial projections, headcount models, and GRR scenarios in this deck are derived from the assumptions below. Assumptions are based on SaaS CS benchmarks (industry standards, McKinsey, KeyBanc), public SaaS Labs / JustCall product information, and standard India-based CS cost structures.

ASSUMPTION	VALUE / BASIS
Total ARR	\$100M
Total accounts	25,000
Monthly renewals	80% of base (\$80M ARR re-earned every 30 days)
MM segment ARR	\$52M (52% of total · 1,750 accounts)
SMB T1 ARR	\$19M (3,250 accounts)
SMB T2 ARR	\$12M (4,000 accounts)
SMB T3 ARR	\$17M (16,000 accounts)
Baseline GRR (blended)	69% (MM 75% · T1 65% · T2 64% · T3 60%, ARR-weighted)
Base case GRR improvement	+4pp blended (MM +4 · T1 +5 · T2/T3 +3) → \$3.9M retained
Best case GRR improvement	+7pp blended (MM +7 · T1 +8 · T2/T3 +5) → \$6.6M retained · McKinsey best-in-class anchor
CS team size	43 FTE (India-based)
CSM salary range	INR 18-25L base (fully loaded 1.35x = INR 24-34L)
People cost	\$1.51M / year (INR exchange: 83 = \$1)

ASSUMPTION	VALUE / BASIS
Tooling cost (recurring)	\$87k / year — lean stack; 4 of 8 tools already owned or native (HubSpot Service+Ops Hub, HubSpot workflows, Delighted, Metabase). HubSpot-led; ChurnZero replaced by HubSpot Service + Operations Hub.
One-time tooling build / integration (Year 1)	\$55k — PostHog eng (\$15k) · HubSpot workflow & health-score config (\$20k) · predictive model (\$10k) · digital-CS tool setup (\$10k). \$15k incremental eng cash; remainder largely absorbed in the \$1.51M people cost.
Total Year 1 CS investment	\$1.68M
Pre-90-day churn (SMB)	43% of total SMB churn
CS attribution — MM	55-60% of prevented churn attributable to CS
CS attribution — SMB T1	43-45%
CS attribution — SMB T2+3	18-20%
Intercom Fin benefit	L1 deflection only · 3 digital specialists · company-level headcount saving (\$115-161k) accrues to support budget, not CS P&L
Userpilot vs Pendo	Userpilot: \$15k/yr, 1-7 day deploy. Pendo: \$48k/yr, 8-12 weeks. Savings: \$33k/yr. Pendo to be re-evaluated in Year 2.
PostHog	Lightweight event pipeline — deploys in 1–2 weeks; the only engineering dependency. CRM-only health scores work Day 1 (degraded), upgrade to product-data once PostHog is live. \$18k/yr vs \$40k for a full CDP.
HubSpot Service + Ops Hub	CS orchestration backbone — already owned and running today. The Service + Operations Hub tier the team holds adds health scoring, playbooks, native lifecycle email & at-risk automation (\$0 incremental). Replaces ChurnZero — no second CS platform to license or sync.
Hysteresis band (account movement)	±15% ARR buffer to prevent thrashing between segments
Voluntary vs involuntary churn	Involuntary (payment failure) 15% of total churn — addressed via Stripe Smart Retries